

**CONVENIENCE TRANSLATION INTO ENGLISH
OF FINANCIAL STATEMENTS TO BE DISCLOSED
TO THE PUBLIC AND AUDITOR'S REPORT
ORIGINALLY ISSUED IN TURKISH,
SEE NOTE F-II IN SECTION SIX**

**BANK MELLAT HEADQUARTERS: TEHRAN, IRAN
ISTANBUL, ANKARA AND IZMIR BRANCHES**

**FINANCIAL STATEMENTS TO BE DISCLOSED
TO THE PUBLIC AND AUDITOR'S REPORT
AT 31 DECEMBER 2005**

**CONVENIENCE TRANSLATION INTO ENGLISH OF
AUDITOR'S REPORT ORIGINALLY ISSUED IN TURKISH**

**BANK MELLAT HEADQUARTERS: TEHRAN, IRAN
ISTANBUL, ANKARA AND IZMIR BRANCHES**

**AUDITOR'S REPORT
FOR THE PERIOD 1 JANUARY - 31 DECEMBER 2005**

1. We have audited the accompanying balance sheet of Bank Mellat Headquarters: Tehran, Iran Istanbul, Ankara and Izmir branches ("the Branch") at 31 December 2005 and the related statements of income, cash flows and changes in shareholders' equity for the year then ended. These financial statements are the responsibility of the Bank's management. Our responsibility is to express an opinion on these financial statements based on our audit.
2. We conducted our audit in accordance with the Uniform Chart of Accounts of banks, accounting standards and independent audit principles set out in conformity with Banking Act No.5411. Those principles require that we plan and perform the audit in order to obtain reasonable assurance about whether the financial statements are free from material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.
3. In our opinion, the financial statements present fairly, in all material respects, the financial position of Bank Mellat Headquarters: Tehran, Iran Istanbul, Ankara and Izmir branches at 31 December 2005 and the result of its operations and its cash flows for the year then ended, in accordance with accounting principles and standards set out by the regulations in conformity with Article 37 and temporary article 1 of the Banking Act No 5411.

Additional paragraph for convenience translation into English:

4. As explained in Section Six/F-II, the effects of differences between accounting principles and standards set out by regulations in conformity with article 37 and temporary article 1 of the Banking Act No. 5411, accounting principles generally accepted in countries in which the accompanying financial statements are to be distributed and International Financial Reporting Standards ("IFRS") have not been quantified in the accompanying financial statements. Accordingly, the accompanying financial statements are not intended to present the financial position, results of operations and changes in financial position and cash flows in accordance with the accounting principles generally accepted in such countries and IFRS.

Başaran Nas Serbest Muhasebeci
Mali Müşavirlik Anonim Şirketi
a member of
PricewaterhouseCoopers

Haluk Yalçın, SMMM
Istanbul, 17 February 2006

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**BANK MELLAT HEADQUARTERS: TEHRAN, IRAN
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NOTES TO FINANCIAL STATEMENTS AT 31 DECEMBER 2005

(Amounts expressed in thousand of New Turkish lira (YTL))

SECTION ONE

A - GENERAL INFORMATION

I. The Branch's date of foundation

Bank Mellat Headquarters: Tehran, Iran Istanbul, Ankara and Izmir branches ("the Branch"), which is based in Tehran, Iran, established its branches in Istanbul, Ankara and Izmir on 18 August 1981, 23 February 1984 and 16 January 1992, respectively. The branches registered under the scope of Foreign Capital Encouragement Law No. 6224, which permits the transfer of distributable profits to the Head Office. The branches started operations after securing permission from the Treasury Undersecretariat in April 1982, May 1985 and October 1992, respectively.

II. Information about the Branch's capital structure, controlling stockholder, group the Branch belongs to:

The Bank's main shareholder is Islamic Republic of Iran.

III. Information about the qualifications of the Branch's chairman and members of the board of directors, members of the board of audit and general director, changes regarding this and the shares they hold:

<u>Title</u>	<u>Name</u>	<u>Administrative Function</u>	<u>Academic Background</u>
Chairman of the Board of Directors:	Younes Hormozi Sheikh Tabagh	Chairman and General Manager	Graduate
Members of the Board of Directors:	Ahmet Arıöz	Deputy General Manager	Graduate
	Sayed Reza Mirtalebi	Ankara Branch Manager	Graduate

Above mentioned members have no equity participation share in the Branch

IV. Bank's service type and fields of operation

The Branch operates in banking services and its core business activity is financing of commercial activities between Republic of Turkey and Islamic Republic of Iran.

The number of employees in the Bank is 50 at 31 December 2005 (31 December 2004: 47).

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(Amounts expressed in thousand of New Turkish lira (YTL))

B – FINANCIAL STATEMENTS (Continued)

VI. PROFIT APPROPRIATION STATEMENT

	<u>31 December 2005</u>	<u>31 December 2004</u>
I. DISTRIBUTION OF CURRENT YEAR INCOME		
1.1 Current Year income	5.995	3.923
1.2 Taxes and duties payable (-)	1.443	833
1.2.1 Corporate tax (Income tax)	1.443	833
1.2.2 Income withholding tax	-	-
1.2.3 Other taxes and duties	-	-
A. NET INCOME FOR THE YEAR (1.1-1.2)	4.552	3.090
1.3 Prior years losses (-)	-	-
1.4 First legal reserves (-)	-	-
1.5 Other statutory reserves (-)	-	-
B. NET INCOME AVAILABLE FOR DISTRIBUTION [(A-(1.3+1.4+1.5))]	4.552	3.090
1.6 First dividend to shareholders (-)	-	-
1.6.1 To owners of ordinary shares	-	-
1.6.2 To owners of privileged shares	-	-
1.6.3 To owners of preferred shares (preemptive rights)	-	-
1.6.4 To profit sharing bonds	-	-
1.6.5 To holders of profit and loss sharing certificates	-	-
1.7 Dividends to personnel (-)	-	-
1.8 Dividends to board of directors (-)	-	-
1.9 Second dividend to shareholders (-)	-	-
1.9.1 To owners of ordinary shares	-	-
1.9.2 To owners of privileged shares	-	-
1.9.3 To owners of preferred shares (preemptive rights)	-	-
1.9.4 To profit sharing bonds	-	-
1.9.5 To holders of profit and loss sharing certificates	-	-
1.10 Second legal reserves (-)	-	-
1.11 Statutory reserves (-)	-	-
1.12 Extraordinary reserves	-	-
1.13 Sther reserves	-	-
1.14 Special funds	-	-
II. DISTRIBUTION OF RESERVES	-	-
2.1 Appropriated reserves	-	-
2.2 Second legal reserves (-)	-	-
2.3 Dividends to shareholders (-)	-	-
2.3.1 To owners of ordinary shares	-	-
2.3.2 To owners of privileged shares	-	-
2.3.3 To owners of preferred shares	-	-
2.3.4 To profit sharing bonds	-	-
2.3.5 To holders of profit and loss sharing certificates	-	-
2.4 Dividends to personnel (-)	-	-
2.5 Dividends to board of directors (-)	-	-
III. EARNING PER SHARE	-	-
3.1 To owners of ordinary shares	1.075	730
3.2 tT owners of ordinary shares (%)	-	-
3.3 To owners of privileged shares	-	-
3.4 To owners of privileged shares (%)	-	-
IV. DIVIDEND PER SHARE	-	-
4.1 To owners of ordinary shares	-	-
4.2 To owners of ordinary shares (%)	-	-
4.3 To owners of privileged shares	-	-
4.4 To owners of privileged shares (%)	-	-

NOTE: The Bank's profit distribution in relation to year 2005 has not been determined as of the reporting date.

The accompanying notes from an integral part of these financial statements.

CONVENIENCE TRANSLATION INTO ENGLISH OF FINANCIAL STATEMENTS TO BE DISCLOSED TO THE PUBLIC ORIGINALLY ISSUED IN TURKISH, SEE NOTE F-II IN SECTION SIX

**BANK MELLAT HEADQUARTERS: TEHRAN, IRAN
ISTANBUL, ANKARA AND IZMIR BRANCHES**

NOTES TO FINANCIAL STATEMENTS AT 31 DECEMBER 2005

(Amounts expressed in thousand of New Turkish lira (YTL))

VII. CONSOLIDATED FINANCIAL STATEMENTS OF THE HEADQUARTERS OF THE FOREIGN BANK

I. Balance sheet and income statement

As at 20 March 2005, financial statements issued by the Headquarters of the Branch are not independently audited. The Headquarters of the Branch do not issue financial statements as at 31 December 2005.

BANK MELLAT (IRAN)		
CONSOLIDATED COMPARATIVE BALANCE SHEET		
(THOUSAND OF USD)		
	CURRENT PERIOD (20.03.2005)	PRIOR PERIOD (20.03.2004)
Cash and cash equivalents	58.569	59.505
Central bank	1.853.318	1.869.633
Other assets	21.217.187	14.999.322
Total Assets	23.129.074	16.928.460
Deposits	13.390.557	11.193.126
Other liabilities	8.099.426	5.212.285
Shareholders' equity	1.639.091	523.049
Total Liabilities	23.129.074	16.928.460

BANK MELLAT (IRAN)		
CONSOLIDATED COMPARATIVE INCOME STATEMENT		
(THOUSAND OF USD)		
	CURRENT PERIOD (20.03.2005)	PRIOR PERIOD (20.03.2004)
Total income	1.051.672	745.168
Interest expense on deposits	(631.201)	(457.384)
Other income	388.639	221.118
Total net income	809.110	508.902
Total expenses	(642.490)	(443.465)
Profit before tax	166.620	65.437
Taxes payable	(90.463)	(8.925)
Net Profit	76.157	56.512

CONVENIENCE TRANSLATION INTO ENGLISH OF FINANCIAL STATEMENTS TO BE DISCLOSED TO THE PUBLIC ORIGINALLY ISSUED IN TURKISH, SEE NOTE F-II IN SECTION SIX

**BANK MELLAT HEADQUARTERS: TEHRAN, IRAN
ISTANBUL, ANKARA AND IZMIR BRANCHES**

NOTES TO FINANCIAL STATEMENTS AT 31 DECEMBER 2005

(Amounts expressed in thousand of New Turkish lira (YTL))

SECTION THREE

C - EXPLANATIONS ON ACCOUNTING POLICIES

I. EXPLANATION ON THE BASIS OF PRESENTATION

a. The preparation of financial statements and related explanations and footnotes in accordance with the Accounting Application Regulation and communiqués on accounting standards:

The Branch's statutory financial statements and related explanations and footnotes have been prepared in accordance with Accounting Application Regulation ("AAR") published in the Official Gazette No. 24793 dated 22 June 2002 brought into effect on 1 July 2002 by the Banking Regulation and Supervision Agency ("BRSA") and the communiqués on accounting standards and communiqués on changes in various accounting standards published in the official Gazette No. 24980 dated 31 December 2002.

b. Valuation basis used in the preparation of the financial statements:

Financial Reporting in Hyperinflationary Economies Standard stated in the Communiqué 14 on the Accounting Application Regulation ("AAR 14") became effective as of 1 July 2002.

AAR 14 requires the re-adjustment of financial statements prepared based on a currency of a hyperinflationary economy according to the purchasing power at the date of the balance sheet. Balances of previous periods are also adjusted accordingly. In order for an economy to be defined as hyperinflationary, the above mentioned communiqué sets certain criteria, one of which is the condition that the last three years' inflation rates must be one hundred percent or above and the current year inflation rate must be ten percent or above according to data of the State Statistics Institute.

According to AAR 14, if certain indicators in the economy disappear, compulsory preparation of financial statements based on inflation accounting becomes void; the period when inflation accounting is to be annulled due to the end of hyperinflationary period is announced by the BRSA. Accordingly, the BRSA announced with a communiqué at 28 April 2005 that inflation accounting has ended upon BRSA decision No 1623 date 21 April 2005. In the communiqué in question, it is emphasized that indicators which necessitate the application of inflation accounting had disappeared and inflation accounting application was to be ended as of 1 January 2005. According to AAR 14, in case of the cancellation of inflation accounting, adjusted balances effective at period-end form the beginning balances of the next period. Thus, in the preparation of the financial statements of the Bank, inflation accounting has been applied until 31 December 2004 and inflation accounting application has not been performed as from 1 January 2005. In these financial statements, balances regarding the previous period are presented according to their inflation adjusted values as of 31 December 2004.

Inflation adjustments made until 31 December 2004 have been performed by the use of Wholesale Price Indices announced by State Statistics Institute and published as an appendix of AAR 14, according to principles stated in AAR 14. Details regarding inflation accounting are presented in "Explanations and Footnotes regarding Inflation Accounting" Section Five, note IX.

The methods used in the valuation of the assets and liabilities are stated in the related accounting policies.

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(Amounts expressed in thousand of New Turkish lira (YTL))

C - EXPLANATIONS ON ACCOUNTING POLICIES (CONTINUED)

c. Accounting and evaluation policies adopted in the presentation of financial statements:

Accounting policies and valuation principles used in preparation of financial statements are determined and applied based on the principles determined within the scope of AAR. These accounting policies and valuation principles are explained in footnotes II and XXI which are discussed below.

II. FOREIGN CURRENCY TRANSACTIONS

a. Foreign exchange rates applied in translation and recording of foreign currency transactions in financial statements:

At 31 December 2005, most of the monetary assets and liabilities denominated in foreign currency were translated into Turkish lira using the following foreign exchange rates:

	<u>31 December 2005</u>	<u>31 December 2004</u>
US Dollar	1,3418	1,3421
EURO	1,5875	1,8268
100 Japanese Yen	1,1400	1,2913

b. Total foreign exchange differences included in net profit or loss of the period:

The foreign exchange loss included in the net profit or loss for the period is YTL 314 thousand (2004: YTL 618 thousand).

c. Total amount of foreign currency valuation fund and changes occurred within the period:

The Branch has no foreign currency valuation fund.

d. Capitalized foreign exchange differences:

The Branch has no capitalized foreign exchange differences.

e. Fundamentals of foreign exchange risk management policy:

The Branch positions itself in accordance with the foreign currency basket of the Central Bank of Turkey ("CBT") in order to protect itself against possible foreign exchange risks. Foreign currency asset and liability management on price, liquidity and credit risks is performed in order to sustain the profitability in the framework of the Branch's targeted risk and return profile. Measurable and manageable risks are taken on the basis of the prudential ratios.

f. Accounts used for currency translation differences of net investments in foreign subsidiaries and associates, loans and other hedging instruments:

The Branch has no investments in foreign subsidiaries and associates, loans and other hedging instruments.

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NOTES TO FINANCIAL STATEMENTS AT 31 DECEMBER 2005

(Amounts expressed in thousand of New Turkish lira (YTL))

C - EXPLANATIONS ON ACCOUNTING POLICIES (CONTINUED)

g. Method applied in the translation of goodwill due to the acquisition of a foreign subsidiary and amounts resulted from fair value adjustment of asset and liabilities of such subsidiary

During the current year the Branch has not acquired any foreign subsidiaries.

h. Accounts used to record the results arising from disposal of foreign subsidiary

During the current year the Branch has not disposed any foreign subsidiaries.

i. Whether foreign exchange differences arising from the translation of debt securities issued and the evaluation of monetary financial assets are included in the income statement:

Transactions denominated in foreign currencies are accounted for at the exchange rates prevailing at the date of the transactions. Foreign currency assets and liabilities have been translated into Turkish lira at year-end foreign exchange bid rates of the Branch. The Branch has no foreign currency denominated non-monetary assets as of 31 December 2005. Gains and losses resulting from the settlement of such transactions and from the translation of foreign currency assets and liabilities denominated in foreign currencies are recognised in the income statement as foreign exchange gains and losses.

j. Inclusion of the translation differences related with the translation of the marketable securities and monetary financial assets in the income statement.

The translation differences related with the translation of the marketable securities and monetary financial assets are disclosed under foreign exchange gains and losses in the income statement.

III. FORWARD TRANSACTIONS, OPTIONS AND DERIVATIVE INSTRUMENTS

The Branch does not have any derivative instruments. The Branch does not have any derivative instruments used for hedging purposes as stated in the 1st Communiqué related to the Accounting Application Regulation "Accounting of Financial Instruments".

IV. OFFSETTING FINANCIAL INSTRUMENTS

Financial assets and liabilities are offset and the net amount is reported in the balance sheet when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis, or to realize the asset and settle the liability simultaneously.

V. INTEREST INCOME AND EXPENSE

Interest income and expense are recognised in the income statement for all interest bearing instruments on an accrual basis. When the Branch management estimates and judges that the collection becomes doubtful, then the interest income is not recognized until the collection is made.

VI. FEE AND COMMISSION INCOME AND EXPENSE

Income and expenses of fees, commissions and the credit fee and commission expenses that were paid to other credit associations and institutions; the asset purchases ensured by agreements or for a third real or judicial party; the incomes by consulting and project services about the purchase or sale of partnership; are accounted as income or loss as of collection on payment dates.

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(Amounts expressed in thousand of New Turkish lira (YTL))

C - EXPLANATIONS ON ACCOUNTING POLICIES (CONTINUED)

VII. TRADING SECURITIES

The Branch does not have any trading securities at 31 December 2005

VIII. SALES AND REPURCHASE AGREEMENTS AND SECURITIES LENDING TRANSACTIONS

As of 31 December 2005, the Branch does not have any securities sold subject to repurchase agreements.

As of 31 December 2005, the Branch does not have any funds given against securities purchased under reverse repurchase agreements.

The Branch does not have any marketable securities subject to lending transactions.

IX. INVESTMENT SECURITIES HELD-TO-MATURITY, INVESTMENT SECURITIES AVAILABLE-FOR-SALE

The Branch classifies and accounts for its financial assets as “Trading”, “Available-for-sale”, “Originated loans and receivables” and “Held-to-maturity”. Sell and purchase transactions of the financial assets mentioned above are recognized at the “transaction dates”. The appropriate classification of financial assets of the Branch is determined at the time of purchase.

a. Investment securities held-to-maturity:

The Branch has no financial assets that were initially classified as held-to-maturity at December 31, 2005.

Held-to-maturity investments are securities with fixed maturity and fixed or determinable payments where management has the intent and ability to hold the investments to maturity. Held-to-maturity securities are initially recognized at cost, and subsequently carried at amortized cost using the effective yield method. Interest earned whilst holding held-to-maturity securities is reported as interest income.

The Bank has no financial assets that were initially classified as held-to-maturity, however, due to subsequent changes in classification, which will not be classified as held-to-maturity investments for the following two years. There is no diminution in value for the held-to-maturity securities and no provision for impairment is made.

b. Investment securities-available-for-sale:

Available-for-sale investment securities consist of securities, which are not classified as, “Held-to-maturity” and “Trading”.

Available-for-sale investment securities are subsequently remeasured at fair value based on quoted bid prices. When the prices can not be determined reliably then the amortized cost using the effective yield method is considered as fair value. Unrealized gains and losses arising from changes in the fair value of securities classified as available-for-sale are recognised in the shareholders’ equity as “Marketable securities value increase fund”, unless there is a permanent decline in the fair values of such assets or they are disposed. When these securities are disposed or impaired, the related fair value differences accumulated in the shareholder’s equity are transferred to the income statement.

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(Amounts expressed in thousand of New Turkish lira (YTL))

C - EXPLANATIONS ON ACCOUNTING POLICIES (CONTINUED)

X. ORIGINATED LOANS AND RECEIVABLES AND SPECIFIC PROVISIONS

The originated loans and receivables are initially recognized at cost, and subsequently carried at amortized cost using the effective yield. The expenses incurred for the assets received as collateral are not considered as transaction costs.

If the collectibility of any receivable is identified as limited or doubtful by the Branch management through assessments, the Branch provides specific provisions for these loans and/or uncollectible loans and receivables. The Branch provides general and specific provisions for the loans and/or uncollectible loans and receivables in accordance with the "Decree Related to Principles and Procedures on Determining the Qualifications of Bank Loans with Required Reserves and Other Claims and on Reserves to be Held" published in the Official Gazette dated 30 June 2001, No.24448. On the basis of the conservatism principle, the Branch provided 100% provision against its receivables after follow-up as of 31 December 2005.

The provision made during the year is charged against the income for the year. Loans that cannot be recovered are written off and charged against the allowance for loan losses. Such loans are written off after all the necessary legal proceedings have been completed and the amount of the loan loss is determined. Recoveries of amounts previously provided for are treated as a reduction from provision for loan losses throughout the year.

XI. GOODWILL AND OTHER INTANGIBLE ASSETS

The Branch does not have goodwill and intangible assets at 31 December 2005.

XII. PROPERTY AND EQUIPMENT

Property and equipment, carried at historical cost less accumulated depreciation and provision for impairment, are restated to the equivalent purchasing power at 31 December 2005. Depreciation is calculated over the restated amounts of property and equipment using the straight-line method. The expected useful lives are stated below:

Buildings	50 years
Machinery, furniture fixture and vehicles	5 years

The depreciation charge for items remaining in the property and equipment for less than an accounting period at the balance sheet date, is calculated in proportion to the period the item remained in the property and equipment.

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(Amounts expressed in thousand of New Turkish lira (YTL))

C - EXPLANATIONS ON ACCOUNTING POLICIES (CONTINUED)

Pursuant to AAR 14, fixed assets are not subject to revaluation.

Where the carrying amount of an asset is greater than its estimated recoverable amount ("higher of net realisable value and value in use"), it is written down immediately to its recoverable amount and the provision for the diminution in value is charged to income statement. For the determination of the net realisable value, an independent expert real estate appraisal firm valued the buildings of the Branch in Istanbul, Ankara and Izmir Branches, which constitute 98% of the total property and equipment at 31 December 2005 (2004: 91%).

Gains and losses on the disposal of property and equipment are determined by deducting the net book value of the property and equipment adjusted according to the purchasing power at 31 December 2005 from cash sales revenue adjusted according to the purchasing power at 31 December 2005.

Expenditure for the repair and renewal of property and equipment is charged against income. The capital expenditures made in order to increase the capacity of the tangible asset to increase the future benefit of the asset, are added to the cost of the tangible asset. The capital expenditures are composed of the expenses made in order to increase the useful life of the asset, increase the capacity of the asset, increase the quality of the services given or the products produced and decrease the cost of the production.

There are no pledges, mortgages and other precautions and commitments given to acquire property and equipment.

The Branch does not expect any changes in the accounting estimates that will have a significant impact in current year or that may have a significant impact on future periods.

XIII. LEASING TRANSACTIONS

The Branch does not engage in leasing transactions, either as lessee or as lessor.

XIV. PROVISIONS AND COMMITMENTS

Provisions and contingent liabilities excluding specific provisions for loans and other receivables are accounted for in accordance with the Communiqué 8 on the Accounting Application Regulation – Standard for Provisions, Contingent Liabilities and Contingent Assets" (As of 31 December 2005, the Bank has no provision for contingent liabilities).

Provisions are recognized when the Branch has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made. When a reliable estimate of the amount of the obligation cannot be made, contingent liability exists. A provision is recognized when it is probable that the contingent event will occur; and a reliable estimate can be made. The provision can be made for the obligation dependent on condition if the probability of the existence of the obligation is high and if it can be reliably measured.

XV. OBLIGATIONS RELATED TO EMPLOYEE RIGHTS

The Branch calculated employment termination benefit provision according to the BRSA standard AAR 10 as of 31 December 2005.

The simple arithmetic average of the last five years' actual payment rates that is the basis for the severance pay and notice pay provisions is 68% (2004: 69%).

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C - EXPLANATIONS ON ACCOUNTING POLICIES (CONTINUED)

As of 31 December 2005, the Branch has no employees with fixed period agreements, whose employment period will terminate in more than 12 months starting from the balance sheet date.

There are no foundation funds or other institutions in which Branch employees participate.

XVI. TAXATION

a. Corporate tax accounting procedures:

Corporation tax for year 2005 is 30% (2004: 33 %) on the total income of the Company after adjusting for certain disallowable expenses, exempt income and investment and other allowances. No further tax is payable unless the profit is distributed.

Dividends paid to non-resident corporations, which have a place of business in Turkey, or resident corporations are not subject to withholding tax. Otherwise, dividends paid are subject to withholding tax at the rate of 10%. An increase in capital via issuing bonus shares is not considered as a profit distribution and thus does not incur withholding tax.

Corporations are required to pay advance corporation tax quarterly at the rate of 30% on their corporate income. Advance tax is payable by the 17th of the second month following each calendar quarter end. Advance tax paid by corporations is credited against the annual corporation tax liability. The balance of the advance tax paid may be refunded or used to offset against other liabilities to the government.

Capital gains derived from the sale of investments in subsidiaries and immovable assets are tax exempt if such gains are added to paid-in-capital in the year in which they are sold.

Effective from 24 April 2003, capital expenditures, with some exceptions, over YTL 10 thousand are eligible for an investment incentive allowance of 40%, which is deductible from taxable income prior to calculation of the corporate income tax, without the requirement of an investment incentive certificate and the amount of allowance is not subject to withholding tax. Investment allowances utilized within the scope of investment incentive certificates granted prior to 24 April 2003 are subject to withholding tax at the rate of 19,8%, irrespective of profit distribution.

Under the Turkish taxation system, tax losses can be carried forward to offset against future taxable income for up to 5 years. Tax losses cannot be carried back to offset profits from previous years.

In Turkey, there is no procedure for a final and definitive agreement on tax assessments. Companies file their tax returns within the 15th of the fourth month following the close of the financial year to which they relate. Tax returns are open for 5 years from the beginning of the year that follows the date of filing during which time the tax authorities have the right to audit tax returns, and the related accounting records on which they are based, and may issue re-assessments based on their findings.

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C - EXPLANATIONS ON ACCOUNTING POLICIES (CONTINUED)

b. Calculation of deferred tax in accordance with tax legislation:

The Branch assesses and accounts for the temporary differences arising between the book value of an asset or liability and its value subject to taxation in accordance with tax legislation as “deferred tax” pursuant to the “Accounting Standard of Taxes” which is the Communiqué No.18 regarding the Regulation on Accounting Application.

XVII. BORROWINGS

The Branch does not have any issued convertible bonds at 31 December 2005.

XVIII. PAID-IN CAPITAL AND TREASURY STOCK

During 2005, the Branch has not distributed official certificates that substitute for common stocks to its shareholders in the capital increase amount.

No dividends were announced after the balance sheet date.

XIX. AVALIZED DRAFTS AND ACCEPTANCES

Avalized drafts and acceptances occur when the customers payments are simultaneously recorded in the off-balance sheet transactions.

There are no avalized drafts and acceptances as to the equivalent of assets as liability.

XX. GOVERNMENT GRANTS

The Bank does not have government grants at 31 December 2005.

XXI. RECLASSIFICATIONS

Where necessary, comparative figures of the prior year, namely 31 December 2004, have been reclassified to conform to changes in presentation in the current year.

XXII. NEW LOCAL CURRENCY

Through the enactment of the Law numbered 5083 concerning the “Currency of the Republic of Turkey” in the Official Gazette dated 31 January 2004, the New Turkish lira (“YTL”) and New Kuruş (“YKr”) have been introduced as the new currency of the Republic of Turkey, effective from 1 January 2005. The hundredth part of the YTL is the YKr. When the prior currency, Turkish lira (“TL”), values are converted into YTL, one million TL (TL1,000,000) shall be equivalent to one YTL (YTL1). Accordingly, the currency of the Republic of Turkey is simplified by removing 6 zeroes from the TL.

Effective from 1 January 2005, the YTL replaced the TL as a unit of account for keeping and presentation of the records, accounts and financial statements. According to the decree of the BRSA numbered BDDK.DZM.2/13/1-a-1, publicly available financial statements and disclosures will be presented in “thousands of YTL” including the previous periods on until 1 January 2005 for the comparison. In this respect, for the comparison purpose, 31 December 2004 amounts previously prepared and presented in “billion TL” have been presented as “thousands YTL”.

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SECTION FOUR

D. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL POSITION

I. STRATEGY OF USING FINANCIAL INSTRUMENTS AND EXPLANATIONS ON FOREIGN CURRENCY TRANSACTIONS

The main operation of the Branch includes any commercial banking related transactions and operations that are allowed by the regulations to be performed by any bank.

The Branch invests the funds obtained through fixed rate deposits, loans form Head Office and cash quarantees to short-term, high interest bearing and relatively low risk bank placements and credit for banks. The Branch manages the liquidity risk by providing sufficient cash and cash equivalent sources for its current and contingent liabilities. In this context, the Bank aims at ensuring a liquidity structure which matches liabilities due.

The Branch protects itself from interest rate risk, currency risk and price fluctuations by its investments in short-term placements and provide cash collaterals.

Branch has no available sale foreign currency capital instruments.

The Bank positions itself in accordance with the foreign currency basket of the Central Bank of Turkey ("CBT") in order to protect itself against possible foreign exchange risks. Foreign currency asset and liability management on price, liquidity and credit risks is performed in order to sustain the profitability in the framework of the Bank's targeted risk and return profile. The Bank keeps the foreign currency position at minimum after Turkey adopted a floating foreign currency system on February 2001.

The Bank does not have investments in foreign entities.

II CAPITAL ADEQUACY RATIO

The capital adequacy ratio of the Bank is 62,72 %, which is higher than the minimum required ratio of 8% stipulated in the legislation (2004: 39,92%).

In the calculation of the capital adequacy ratio, the Bank used "Market Risk Measurement with Standard Method Procedure".

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D. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL POSITION (Continued)

Information related to capital adequacy ratio: YTL Thousand, %

	Risk Weights			
	31 December 2005			
	0%	20%	50%	100%
Risk Weighted Assets, liabilities and Non.Cash Loans				
Balance Sheet items (Net)	112.719	51.134	6.350	14.818
Cash	146	-	-	-
Banks	4.857	51.031	-	-
Interbank money market placements	-	-	-	-
Receivables from reverse repurchase agreement transactions	-	-	-	-
Reserve deposits	12.867	-	-	-
Special finance institutions	-	-	-	-
Loans	91.587	-	6.243	5.890
Loans under follow-up (Net)	-	-	-	-
Subsidiaries, associates and investments held-to-maturity	-	-	-	-
Miscellaneous receivables	-	-	-	12
Marketable securities held-to-maturity (Net)	-	-	-	-
Advances for assets acquired by financial leasing	-	-	-	-
Financial lease receivables	-	-	-	-
Leased assets (Net)	-	-	-	-
Fixed assets (Net)	-	-	-	7.727
Other assets	1.302	-	-	1.044
Off balance sheet items	-	-	-	-
Guarantees and pledges	287	5.314	3	36
Commitments	-	-	30	-
Other off balance sheet items	-	-	-	-
Transactions related with derivative financial institutions	-	-	-	-
Interest and income accruals	1.960	103	107	144
Not risk weighted accounts	-	-	-	-
Total risk weighted assets	113.006	56.448	6.383	14.854

Summary information about the unconsolidated capital adequacy ratio:

	Current Year	Prior Year
Total risk weighted assets	29.335	38.281
Amount subject to market risk	4.138	9.675
Shareholders' Equity	20.993	19.143
Shareholders' Equity / Total risk weighted assets (CAR (%))	62,72%	39,92%

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D. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL POSITION (Continued)

Information about the shareholders equity items:

	Current Year	Prior Year
I. CORE CAPITAL		
Paid-in Capital	4.236	4.236
Nominal capital	4.236	4.236
Capital Commitments (-)	-	-
Capital reserves due to the inflation adjustment of paid-in capital	10.398	10.398
Common Stock Issued Premiums and Cancellation Profits	-	-
Legal Reserves	-	-
First legal reserve (Turkish Commercial Code 466/1)	-	-
Second legal reserve (Turkish Commercial Code 466/2)	-	-
Other legal reserve per special legislation	-	-
Statutory reserves	-	-
Extraordinary reserves	1.495	757
Reserves allocated by the General Assembly	1.495	-
Retained earnings	-	757
Accumulated loss	-	-
Foreign currency share capital exchange difference	-	-
Profit	4.552	3.090
Current year profit	4.552	3.090
Prior year profit	-	-
Loss (-)	-	-
Current year loss	-	-
Prior year loss	-	-
Total Core Capital	20.681	18.481
II. SUPPLEMENTARY CAPITAL	-	-
Revaluation Fund	-	-
Securities	-	-
Immovables	-	-
Associates and Subsidiaries to be transferred to share capital	-	-
Profit on sale of associates, subsidiaries and buildings to be transferred to share capital	-	-
Revaluation fund of leasehold improvement	-	-
Increase in the value of revaluation fund	-	-
Foreign exchange differences	-	-
General reserves	313	606
Provisions for possible losses	-	-
Subordinated loans	-	-
Marketable securities and investment securities value increase fund	19	67
Associates and subsidiaries	-	-
Investments available-for-sale	19	67
Investments held for structural transactions	-	-
Total Supplementary Capital	332	673

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D. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL POSITION (Continued)

	Current Year	Prior Year
III. TIER III CAPITAL		
IV. CAPITAL	21.013	19.154
DEDUCTIONS FROM THE CAPITAL	20	(11)
Investments in unconsolidated financial companies whose main activities are money and capital markets or insurance and that operate with licenses provided in accordance with special laws.	-	-
Leasehold improvements	-	-
Installation costs	-	-
Prepaid expenses	20	(11)
The negative difference between the market values and the carrying amounts for unconsolidated investments, subsidiaries, other investments and fixed assets	-	-
Subordinated loans given to other banks which operate in Turkey(*)	-	-
Goodwill (Net)	-	-
Capitalised expenses	-	-
Total Shareholders' Equity (IV-V)	20.993	19.143

III. CREDIT RISK

1. Financial instruments contain an element of risk of the counterparties being unable to meet the terms of the agreements. This risk is monitored by reference to credit risk ratings and managed by limiting the aggregate risk to any individual counterparty, group of companies and industry. According to the risk management policy of the Branch, the Branch requires additional guarantee letters from the real persons and entities that the Bank extends loans to who were assessed as high risk after performing detailed risk rating on individual loans.

The credit worthiness of borrowers is monitored regularly in accordance with the related legislated financial statements and other financial reports taken from borrowers of extended loans .

2. At 31 December 2005, the Bank does not have any forward and option contracts or any other similar agreements.
3. At 31 December 2005, the Bank has been faced with insignificant amount of credit risk exposure.
4. Rescheduled or restructured loans are followed in their relevant groups until all receivable from the loans is collected. Monitoring continues until receivable from loan is completely collected. The Branch considers that long term commitments are more exposed to credit risk than short term commitments, and points such as defining risk limits for long term risks and obtaining collaterals are treated in a wider extent than short term risks.

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D. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL POSITION (Continued)

5. The Branch's transactions in foreign countries with regard to banking operations and credit facilities are mainly held with corporations based in Islamic Republic of Iran, where the head office of the Bank is also based.

The Bank is not an active player in an international banking unit.

6. a. The proportion of the largest 100 cash loan balances in the total cash loan portfolio of the Bank is 100%.
- b. The proportion of the largest 100 non-cash loan balances in the total non-cash loan portfolio of the Bank is 100%.
- c. The proportion of largest 100 cash and non-cash loan balances in the total loans and off-balance sheet non-cash loans is 56%.

7. The general provision amount for credit risk YTL 313 thousand (2004: YTL 606 thousand).

Information according to geographical concentration:

	Assets	Liabilities	Non-cash loans	Capital Expenditures	Net profit
Current Year					
Domestic	65.160	37.841	2.714	-	4.552
European Union Countries	18.005	-	-	-	-
OECD Countries *	12.690	-	-	-	-
Off-shore Banking Regions	-	-	-	-	-
USA, Canada	-	-	-	-	-
Other Countries	98.579	156.592	8.565	-	-
Unallocated Assets/liabilities**	-	-	-	-	-
Total	194.433	194.433	11.279		4.552
Prior Year					
Domestic	70.457	46.705	3.775	-	3.090
European Union Countries	9.214	-	-	-	-
OECD Countries *	1.626	-	-	-	-
Off-shore Banking Regions	-	-	-	-	-
USA, Canada	-	-	-	-	-
Other Countries	97.421	132.013	12.402	-	-
Unallocated Assets/liabilities**	-	-	-	-	-
Total	178.718	178.718	16.177	-	3.090

* OECD Countries other than EU countries, USA and Canada

**Unallocated assets / liabilities which could not be distributed according to a consistent principal

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D. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL POSITION (Continued)

Sector concentrations for cash loans:

	Current Year				Prior Year			
	YTL	(%)	FC	(%)	YTL	(%)	FC	(%)
Current Year								
Agricultural	-	-	-	-	-	-	-	-
Farming and raising livestock	-	-	-	-	-	-	-	-
Forestry	-	-	-	-	-	-	-	-
Fishing	-	-	-	-	-	-	-	-
Manufacturing	-	-	1.503	2	159	74	571	1
Mining	-	-	-	-	-	-	-	-
Production	-	-	1.503	2	159	74	571	1
Electric, gas and water	-	-	-	-	-	-	-	-
Construction	38	100	260	-	-	-	-	-
Services	-	-	72.446	70	16	7	100.602	99
Wholesale and retail trade	-	-	5.382	5	16	7	5.631	6
Hotel, food and beverage services	-	-	-	-	-	-	-	-
Transportation and telecommunication	-	-	-	-	-	-	-	-
Financial Institutions	-	-	67.064	65	-	-	94.971	93
Real estate and renting services	-	-	-	-	-	-	-	-
Self-employment services	-	-	-	-	-	-	-	-
Education services	-	-	-	-	-	-	-	-
Health and social services	-	-	-	-	-	-	-	-
Other	-	-	29.473	28	41	19	250	-
Total	38	100	103.682	100	216	100	101.423	100

IV. MARKET RISK

The amount subject to market risk is calculated and reported in line with the BRSA standard method. Market risk is measured monthly.

	Balance
Capital to be employed for interest rate risk – standard method	54
Capital to be employed for general market risk	54
Capital to be employed for specific risk	-
Capital to be employed for options subject to interest rate risk	-
Capital to be employed for common stock position risk – Standard method	-
Capital to be employed for general market risk	-
Capital to be employed for specific risk	-
Capital to be employed for options subject to common stock position risk	-
Capital to be employed for currency risk – Standard method	277
Capital liability	277
Capital to be employed for options subject to currency risk	
Total Value-at-risk (VAR)-Internal Model	
Total capital to be employed for market risk	331
Amount subject to market risk	4.138

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D. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL POSITION (Continued)

V. CURRENCY RISK

1. Since floating exchange rates have been implemented at February 2001, the Branch keeps its net foreign currency position at the minimum level.
2. Since the Branch is not exposed to foreign currency risk, there are no derivatives used for foreign currency debts and net foreign currency investment.
3. The Branch is taking position according to the foreign currency basket of the CBT to avoid foreign exchange risk. Foreign currency asset and liability management on price, liquidity and credit risks is performed in order to carry on profitability in the framework of the Branch's targeted risk and return profile. Measurable and manageable risks are taken on the basis of the prudential ratios.
4. The Branch's spot foreign exchange bid rates as of the date of the financial statements and for the five days prior to that date:

	USD	EURO	GBP
As of 31 December 2005	YTL 1,3418	YTL 1,5875	YTL 2,3121
As of 30 December 2005	YTL 1,3430	YTL 1,5904	YTL 2,3090
As of 29 December 2005	YTL 1,3422	YTL 1,5994	YTL 2,3310
As of 28 December 2005	YTL 1,3433	YTL 1,5929	YTL 2,3300
As of 27 December 2005	YTL 1,3424	YTL 1,5922	YTL 2,3270
As of 24 December 2005	YTL 1,3435	YTL 1,5943	YTL 2,3330

5. The simple arithmetical average of the Branch's foreign exchange bid rates for the last thirty days is YTL 1,3476 for 1 US dollar, YTL 1,5954 for 1 EURO, YTL 2,3425 for GBP.

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D. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL POSITION (Continued)

Information on currency risk of group: Foreign currency amounts (YTL Thousand)

	EURO	USD	Yen	Other FC	Total
Current Year					
Assets					
Cash (cash in vault, foreign currency, money in transit, cheques purchased) and balances with the Central Bank of Turkey	1.036	3.917	-		4.953
Due from other banks and financial institutions	6.996	43.276	-	283	50.555
Trading securities	-	-	-	-	-
Due From Interbank Money Market	-	-	-	-	-
Investment securities available-for-sale.	-	-	-	-	-
Loans	18.962	84.266	-	454	103.682
Investments in subsidiaries and associates	-	-	-	-	-
Investment securities held-to-maturity	-	-	-	-	-
Property and equipment	-	-	-	-	-
Goodwill	-	-	-	-	-
Other assets	561	14.599	-	22	15.182
Total Assets	27.555	146.058	-	759	174.372
Liabilities					
Banks deposits	2.390	9.579	-	-	11.969
Foreign currency deposits	6.427	14.416	-	380	21.223
Due to Interbank Money Market	-	-	-	-	-
Funds provided from other financial institutions	-	34.887	-	-	34.887
Marketable securities issued					-
Miscellaneous payables	13.964	78.227	-	-	92.191
Other liabilities	3.475	7.254	-	26	10.755
Total liabilities	26.256	144.363	-	406	171.025
Net On Balance Sheet Position	1.299	1.695	-	353	3.347
Net Off Balance Sheet Position	-	-	-	-	-
Financial derivative assets	-	-	-	-	-
Financial derivative liabilities	-	-	-	-	-
Non-cash loans	6.263	4.586	-	-	10.849
Prior Period					
Total Assets	24.155	134.989	-	1.574	160.718
Total Liabilities	22.815	133.167	-	1.220	157.202
Net On Balance Sheet Position	1.340	1.822	-	354	3.516
Net Off Balance Sheet Position	10.627	5.239	-	-	15.866
Non-cash loans	10.627	5.239	-	-	15.866

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D. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL POSITION (Continued)

VI. INTEREST RATE RISK

The Branch is exposed to interest rate risk through the impact of rate changes on interest bearing assets and liabilities. These exposures are managed by using natural hedges that arise from offsetting interest rate sensitive assets by interest rate sensitive liabilities. The Branch management keeps the duration gap between funding liabilities and interest earning assets at a certain level.

Information related to the interest rate mismatch of the Bank:

(Interest rate sensitivity of assets, liabilities and off-balance sheet items based on repricing dates):

Current Year	Up to 1 Month	1 – 3 Months	3 – 6 Months	6 – 12 Months	1 Year and Over	Non-interest bearing	Total
Assets							
Cash (cash in vault, foreign currency, money in transit, cheques purchased) and balances with the Central Bank of Turkey	4.857	-	-	-	-	146	5.003
Due from banks and other financial institutions	30.218	6.269	-	-	-	14.544	51.031
Trading securities	-	-	-	-	-	-	-
Due From Interbank Money Market	-	-	-	-	-	-	-
Investment securities available-for-sale	796	1.106	2.116	3.565	1.307	-	8.890
Loans	10.339	23.783	30.086	37.762	1.750	-	103.720
Investment securities held-to-maturity	-	-	-	-	-	-	-
Other assets	13.880	827	695	558	100	9.729	25.789
Total assets	60.090	31.985	32.897	41.885	3.157	24.419	194.433
Liabilities							
Banks deposits	-	-	-	-	-	11.970	11.970
Other deposits	4.859	6.145	850	3.334	-	6.254	21.442
Due to Interbank Money Market	-	-	-	-	-	-	-
Miscellaneous payables	4.054	10.078	14.017	62.047	2.013	-	92.209
Marketable securities issued	-	-	-	-	-	-	-
Funds provided from other financial institutions	14.760	20.127	-	-	-	-	34.887
Other liabilities	9.115	532	1.956	881	-	741	13.225
Total liabilities	32.788	36.882	16.823	66.262	2.013	18.965	173.733
On Balance Sheet Interest Sensitivity Gap	27.302	(4.897)	16.074	(24.377)	1.144	5.454	20.700
Off Balance Sheet Interest Sensitivity Gap	-	-	-	-	-	-	-
Total Interest Sensitivity Gap	27.302	(4.897)	16.074	(24.377)	1.144	5.454	20.700

CONVENIENCE TRANSLATION INTO ENGLISH OF FINANCIAL STATEMENTS TO BE DISCLOSED TO THE PUBLIC ORIGINALLY ISSUED IN TURKISH, SEE NOTE F-II IN SECTION SIX

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NOTES TO FINANCIAL STATEMENTS AT 31 DECEMBER 2005

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D. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL POSITION (Continued)

Prior Year	Up to 1 Month	1 – 3 Months	3 – 6 Months	6 – 12 Months	1 Year and Over	Non- interest bearing	Total
Assets							
Cash (cash in vault, foreign currency, money in transit, cheques purchased) and balances with the Central Bank of Turkey	4.431	-	-	-	-	187	4.618
Due from banks and other financial institutions	36.101	4.378	-	-	-	-	40.479
Trading securities	-	-	-	-	-	-	-
Due From Interbank Money Market	-	-	-	-	-	-	-
Investment securities available-for-sale	901	2.766	2.902	2.838	-	-	9.407
Loans	5.946	16.471	34.732	42.402	2.088	-	101.639
Investment securities held-to-maturity	-	-	-	-	-	-	-
Other assets	12.593	790	631	636	-	7.925	22.575
Total assets	59.972	24.405	38.265	45.876	2.088	8.112	178.718
Liabilities							
Banks deposits	-	2.683	-	-	-	5.018	7.701
Other deposits	3.071	7.382	817	3.331	-	7.736	22.337
Due to Interbank Money Market	-	-	-	-	-	-	-
Miscellaneous payables	579	-	-	-	-	-	579
Marketable securities issued	-	-	-	-	-	-	-
Funds provided from other financial institutions	28.161	24.255	17.534	48.566	-	-	118.516
Other liabilities	7.439	306	287	398	-	2.607	11.037
Total liabilities	39.250	34.626	18.638	52.295	-	15.361	160.170
On Balance Sheet Interest Sensitivity Gap	20.722	(10.221)	19.627	(6.419)	2.088	(7.249)	18.548
Off Balance Sheet Interest Sensitivity Gap	-	-	-	-	-	-	-
Total Interest Sensitivity Gap	20.722	(10.221)	19.627	(6.419)	2.088	(7.249)	18.548

CONVENIENCE TRANSLATION INTO ENGLISH OF FINANCIAL STATEMENTS TO BE DISCLOSED TO THE PUBLIC ORIGINALLY ISSUED IN TURKISH, SEE NOTE F-II IN SECTION SIX

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D. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL POSITION (Continued)

Average interest rates applied to monetary financial instruments:

Current Year	EURO	USD	Yen	YTL
	%	%	%	%
Assets				
Cash (cash in vault, foreign currency, money in transit, cheques purchased) and balances with the Central Bank of Turkey	0.97	0.89	-	-
Due from banks and other financial institutions	3.00	4.50	-	-
Trading securities	-	-	-	-
Due From Interbank Money Market	-	-	-	-
Investment securities available for sale	-	-	-	15.54
Loans	5.30	6.83		7.71
Investment securities held-to-maturity	-	-	-	-
Liabilities				
Bank deposits	-	-	-	-
Other deposits	2.97	4.63	-	13.71
Miscellaneous payables	-	-	-	-
Due to Interbank Money Market	3.45	5.26	-	-
Marketable securities issued	-	-	-	-
Funds provided from other financial institutions	-	4.85	-	-

Prior Year	EURO	USD	Yen	YTL
	%	%	%	%
Assets				
Cash (cash in vault, foreign currency, money in transit, cheques purchased) and balances with the Central Bank of Turkey	0.99	1.04	-	-
Due from banks and other financial institutions	4.08	4.18	-	18.00
Due from Interbank Money Market	-	-	-	-
Trading securities	-	-	-	-
Available for Sale Securities	-	6.82	-	23.63
Loans	5.25	5.27	-	28.06
Investment securities held-to-maturity	-	-	-	-
Liabilities				
Bank deposits	-	2.89	-	-
Other deposits	3.35	3.02	-	18.14
Miscellaneous payables	-	-	-	-
Due to Interbank Money Market	-	-	-	-
Marketable securities issued	-	-	-	-
Funds provided from other financial institutions	3.27	3.47	-	-

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D. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL POSITION (Continued)

VII. LIQUIDITY RISK

The ability to fund the existing and prospective debt requirements is managed by maintaining sufficient cash and cash equivalents, by the availability of funding through an adequate amount of committed credit lines and by the ability to close out market positions.

Presentation of assets and liabilities according to their outstanding maturities:

	Demand	Up to 1 month	1-3 Months	3-6 Months	6-12 Months	1 Year and over	Not distributed (*)	Total
Current Year								
Assets								
Cash (cash in vault, foreign currency, money in transit, cheques purchased) and Balances with the Central Bank of Turkey	5.003	-	-	-	-	-	-	5.003
Due from banks and other financial institutions	14.544	30.218	6.269	-	-	-	-	51.031
Trading securities	-	-	-	-	-	-	-	-
Due from Interbank money Market	-	-	-	-	-	-	-	-
Investment securities available-for-sale	-	796	1.106	2.116	3.565	1.307	-	8.890
Loans	-	10.339	23.783	30.086	37.762	1.750	-	103.720
Investment securities held-to-maturity	-	-	-	-	-	-	-	-
Other assets (*)	-	13.880	827	695	558	100	9.729	25.789
Total assets	19.547	55.233	31.985	32.897	41.885	3.157	9.729	194.433
Liabilities								
Bank deposits	11.970	-	-	-	-	-	-	11.970
Other deposits	6.254	4.859	6.145	850	3.334	-	-	21.442
Due to Interbank money Market	-	-	-	-	-	-	-	-
Funds provided from other financial institutions	-	14.760	20.127	-	-	-	-	34.887
Marketable securities issued	-	-	-	-	-	-	-	-
Miscellaneous payables	-	4.054	10.078	14.017	62.047	2.013	-	92.209
Other liabilities	-	9.115	532	1.956	881	-	741	13.225
Total liabilities	18.224	32.788	36.882	16.823	66.262	2.013	741	173.733
Net Liquidity Gap	1.323	22.445	(4.897)	16.074	(24.377)	1.144	8.988	20.700
Prior Year								
Total Assets	10.898	49.263	24.405	39.582	45.876	2.826	5.868	178.718
Total Liabilities	12.754	39.250	34.749	20.176	52.295	946	-	160.170
Net Liquidity Gap	(1.856)	10.013	(10.344)	19.406	(6.419)	1.880	5.868	18.548

(*) "Other Assets" line includes Reserve Deposits, Miscellaneous Receivables, Interest and Income Accruals, Tangible Fixed Assets, Intangible Fixed Assets and Other Assets.

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D. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL POSITION (Continued)

VIII. PRESENTATION OF FINANCIAL ASSETS AND LIABILITIES WITH THEIR FAIR VALUES:

The following table summarizes the carrying amounts and fair values of the financial assets and liabilities that are not carried at fair value on the financial statements.

The marketable securities held for investment consist of bearing held-to-maturity assets. The fair value of held-to-maturity assets is based on market prices or when this information is not available broker/dealer price quotations for securities with similar yield, maturity and other terms are used. The Branch has no obligations resulting from deposits and issuance of marketable securities.

Estimated fair value of the demand deposits describe the amount will be paid at the time of demand. Placements with variable rates and overnight deposits describe the book value. Estimated fair value of a time deposit with a fixed interest rate is calculated by cash flow discounted with monetary market interest rates. The following table summarises the fair values of the financial assets and liabilities with their interest accruals.

	Book Value		Fair value	
	Current Year	Prior Year	Current Year	Prior Year
Financial Assets				
Due from banks and other financial institutions	51.134	40.599	51.096	40.599
Investment securities available-for-sale	8.890	10.519	8.890	10.519
Investment securities held-to-maturity		-		-
Financial Liabilities				
Interbank money market deposits	11.970	7.712	11.970	7.712
Other deposits	21.554	22.449	21.557	22.449
Funds provided from other financial institutions	35.073	119.413	35.062	119.413
Marketable securities issued		-		-
Miscellaneous Payables	93.383	579	93.298	579

IX. ACTIVITIES CARRIED OUT ON BEHALF AND ACCOUNT OF OTHER PERSONS

1. The Branch carries on trading and custody services on others' behalf and account.
2. The Bank has no trust transactions.

X. OPERATIONAL SEGMENT:

The Branch extends corporate loans to its customers and enters into foreign trade transactions as intermediary. In addition, the Bank also accepts deposits from corporate and individual customers.

Automatic money transfer services, current accounts, deposit accounts and open credit transactions are within the scope of operations of the Bank.

The Branch does not carry out investment banking activities such as merger and acquisition consultancy, purchase and sale of financial instruments, fund management, structures financing instruments and financial leasing.

The Branch does not carry out activity in areas regarding information technology sector such as corporate financing and computer services.

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SECTION FIVE

E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS

I. INFORMATION AND DISCLOSURES RELATED TO ASSETS:

1. Information related to the account of the Central Bank of Turkey:

	Current Year		Prior Year	
	YTL	FC	YTL	FC
Demand Unrestricted Amount	26	4.831	16	4.415
Time Unrestricted Amount	-	-	-	-
Total	26	4.831	16	4.415

2. Additional information related to trading securities should be disclosed on net basis:

- a. The Branch does not have trading securities given as guarantee/blocked.
- b. The Branch does not have trading securities subject to repo transactions.

3. Information on foreign bank accounts:

	Unrestricted Amount		Restricted Amount	
	Current Year	Prior Year	Current Year	Prior Year
European Union countries	18.004	9.498	-	-
USA and Canada	-	-	-	-
OECD Countries*	12.686	1.626	-	-
Off-shore banking regions	-	-	-	-
Other	-	-	-	-
Total	30.690	11.124	-	-

* OECD countries other than European Union countries, USA and Canada.

4. Information on receivables from reverse repurchase agreements:

The Branch has no receivables from reverse repurchase agreements.

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

5. Information on the available-for-sale securities:

a. The types of available-for-sale securities:

Available-for-sale securities consist of Turkish lira denominated treasury bonds and government bonds.

b. Information on available-for-sale securities:

	Current Year	Prior Year
Securities	8.890	9.407
Listed in the Stock Exchange	8.890	9.407
Non-Listed in the Stock Exchange	-	-
Stocks	-	-
Listed in the Stock Exchange	-	-
Non-Listed in the Stock Exchange	-	-
Provision for value decrease (-)	-	-
Total	8.890	9.407

c. Information on available-for-sale securities given as collateral and their carrying value:

The Branch has no securities given as collaterals against liquidity requirements at 31 December 2005. (31 December 2004: The securities with the cost and interest income accrual amounting to TL1,639 billion and TL324 billion, respectively)

d. Information on the available-for-sale securities given as guarantee/ blocked:

The Branch has no securities given as guarantee/ blocked.

e. The Bank does not have available-for-sale securities subject to repo transactions.

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

6. Information on loans:

- a. Information on all types of loans and advances given to shareholders and employees of the Branch:

	Current Period		Prior Period	
	Cash	Non-cash	Cash	Non-cash
Direct Loans given to the Bank's shareholders	-	-	-	-
Loans provided to legal entity shareholders	-	-	-	-
Loans provided to shareholders	-	-	-	-
Indirect Loans provided to shareholders	-	-	-	-
Loans provided to the Bank's employees	54	-	42	-
Total	54	-	42	-

- b. Information on the first and second group loans and other receivables including loans that have been restructured or rescheduled:

Current Year	Standard Loans and Other Receivables		Loans and Other Receivables Under Close Monitoring	
Cash Loans	Loans and other receivables	Restructured or Rescheduled	Loans and other receivables	Restructured or Rescheduled
Non specialisation loans	29.472	-	-	-
Discount Notes	-	-	-	-
Export loans	-	1.715	-	-
Import loans	2.985	-	-	-
Loans given to financial sector	-	-	-	-
International loans	67.064	-	-	-
Consumer loans	299	-	-	-
Credit cards	-	-	-	-
Precious metals loans (Gold, etc.)	-	-	-	-
Other	2.185	-	-	-
Specialised lending	-	-	-	-
Other receivables	-	-	-	-
Total	102.005	1.715	-	-

- c. Loans according to their maturity structure:

Current Year	Standard Loans and Other Receivables		Loans and Other Receivables Under Close Monitoring	
Cash Loans	Loans and other receivables	Restructured or Rescheduled	Loans and other receivables	Restructured or Rescheduled
Short-term loans	103.655	-	-	-
Non-specialisation loans	101.940	1.715	-	-
Specialised loans	-	-	-	-
Other receivables	-	-	-	-
Medium and long-term loans	65	-	-	-
Non-specialisation loans	65	-	-	-
Specialised loans	-	-	-	-
Other receivables	-	-	-	-

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

d. Information on consumer loans, personal credit cards, staff loans and staff credit cards:

	Short term loans	Long and medium term loans	Total	Interest income accrual and rediscount
Consumer Loans-YTL	-	-	-	-
Mortgage loans	-	-	-	-
Motor vehicle loans	-	-	-	-
Consumer loans	-	-	-	-
Other	-	-	-	-
Consumer Loans- FC indexed	-	-	-	-
Mortgage loans	-	-	-	-
Motor vehicle loans	-	-	-	-
Consumer loans	-	-	-	-
Other	-	-	-	-
Consumer Loans- FC	234	11	245	3
Mortgage loans	-	-	-	-
Motor vehicle loans	-	-	-	-
Consumer loans	-	-	-	-
Other	234	11	245	3
Retail Credit Cards –YTL	-	-	-	-
With instalment	-	-	-	-
Without instalment	-	-	-	-
Retail Credit Cards –YP	-	-	-	-
With instalment	-	-	-	-
Without instalment	-	-	-	-
Retail Loans-YTL	-	38	38	-
Mortgage loans	-	-	-	-
Motor vehicle loans	-	-	-	-
Consumer loans	-	-	-	-
Other	-	38	38	-
Retail Loans – FC indexed	-	-	-	-
Mortgage loans	-	-	-	-
Motor vehicle loans	-	-	-	-
Consumer loans	-	-	-	-
Other	-	-	-	-
Retail Loans-FC	-	16	16	-
Mortgage loans	-	-	-	-
Motor vehicle loans	-	-	-	-
Consumer loans	-	-	-	-
Other	-	16	16	-
Retail Credit Cards –YTL	-	-	-	-
With instalment	-	-	-	-
Without instalment	-	-	-	-
Retail Credit Cards –FC	-	-	-	-
With instalment	-	-	-	-
Without instalment	-	-	-	-
TOTAL	234	65	299	3

CONVENIENCE TRANSLATION INTO ENGLISH OF FINANCIAL STATEMENTS TO BE DISCLOSED TO THE PUBLIC ORIGINALLY ISSUED IN TURKISH, SEE NOTE F-II IN SECTION SIX

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

- e. Information on commercial loans with instalments and corporate credit cards:

The Branch has no commercial loans with instalments and corporate credit cards.

- f. Loans according to type of borrowers:

	Current Year	Prior Year
Public	-	-
Private	103.720	101.639
Total	103.720	101.639

- g. Foreign and domestic loans:

	Current Year	Prior Year
Domestic loans	7.184	5.755
Foreign loans	96.536	95.884
Total	103.720	101.639

- h. Loans granted to subsidiaries and investments:

As of 31 December 2005, the Bank has no loans granted to subsidiaries and investments.

- i. Specific provisions provided against loans:

Specific Provisions	Current Year	Prior Year
Loans and receivables with limited collectibility	-	-
Loans and receivables with doubtful collectibility	-	-
Uncollectible loans and receivables	136	212
Total	136	212

- j. Information on loans and other receivables included in loans under follow up accounts (Net):

- j.1. Information on loans and other receivables renewed, refunded or restructured, and classified under follow-up accounts:

The Branch has no loans and other receivables renewed, refunded or restructured, and classified under follow-up accounts.

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

j.2. Total loans and other receivables under follow up accounts:

	III. Group	IV. Group	V. Group
	Loans and receivables with limited collectibility	Loans and receivables with doubtful collectibility	Uncollectible loans and receivables
Prior year end balance			212
Additions (+)			-
Transfers from other categories of loans under follow-up (+)			-
Transfers to other categories of loans under follow-up (-)			-
Collections (-)			(14)
Write-offs (-)			(62)
Monetary Gain / Loss			
Current year end balance			136
Specific provision (-)			136
Net Balance on balance sheet			-

j.3. Information on foreign currency loans and other receivables under follow up:

The Branch does not have any foreign currency loans and other receivables under follow up.

k. Information on collection of uncollectible loans and other receivables:

The Branch is prudent as regards lending and follow-up policies for doubtful loans and other receivables. Early precautions have been taken for problematic loans and receivables and the Branch attempts to solve customer's problems via consultative or advisory approach. In cases where no solution can be found to the customer's problems, the Branch tries to collect the receivable with cash-convertible guarantees for loans secured.

7. Information on factoring receivables of the Bank, if any:

The Branch has no factoring receivables.

8. Information on investment securities held-to-maturity (Net):

a. Information on investment securities held-to-maturity:

The Branch has no held-to-maturity securities.

b. The movement of investment securities held-to-maturity:

The Branch has no held-to-maturity securities.

c.1. Information on accounts in which investment securities held-to-maturity recorded:

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

The Branch has no held-to-maturity securities.

c.2. Investment securities held-to-maturity given as collateral or blocked:

The Branch has no held-to-maturity securities.

c.3. Held-to-maturity securities subject to repurchase agreement transactions:

As of 31 December 2005 and 2004, the Branch has no held-to-maturity securities subject to repurchase agreement transactions.

c.4. Held-to-maturity securities for structured position:

As of 31 December 2005 and 2004, the Branch has no held-to-maturity securities for structured position.

9. Information on investments (Net):

a. Information on investments:

As of 31 December 2005 and 2004, the Branch has no investments.

10. Information on subsidiaries (Net):

a. Information on subsidiaries:

As of 31 December 2005 and 2004, the Branch has no subsidiaries.

11. Information on other investments:

As of 31 December 2005 and 2004, the Branch has no joint ventures.

12. Information on finance lease transactions:

As of 31 December 2005 and 2004, the Branch has no finance lease receivables.

13. Information on receivables arising from term sales of assets included in miscellaneous receivables:

As of 31 December 2005 and 2004, the Branch has no receivables arising from term sales of assets included in miscellaneous receivables.

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

14. Information on accrued interest and income receivables:

a. Information on accrued interest and income receivables:

Accrued interest and income receivables	Current Year		Prior Year	
	YTL	FC	YTL	FC
Interest receivables	-	107	-	35
Interest accruals	-	2.041	-	1.218
Loan commissions and other income receivables	-	-	-	-
Loan commissions and other income accruals	-	-	-	-
Total	-	2.148	-	1.253

b. Information on other accrued interest and income receivables:

Other accrued interest and income	Current Year		Prior Year	
	YTL	FC	YTL	FC
Trading securities	-	-	-	-
Investment securities available-for-sale	504	-	1.085	27
Investment securities held-to-maturity	-	-	-	-
Interest accruals of reverse repurchase agreement transactions	-	-	-	-
Interest accruals of reserve deposits	-	63	1	25
Income accruals of financial derivative instruments	-	-	-	-
Interest and income accruals	-	-	-	-
Income accrual of foreign exchange gains	-	-	-	-
Income accruals of financial leases	-	-	-	-
Other	-	102	1	130
Total	504	165	1.087	182

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

15. Information on immovables: (Net)

	Land and buildings	Leased fixed assets	Vehicles	Other tangible fixed assets	Total
Prior Year End:					
Cost	8.570	-	266	532	9.368
Accumulated depreciation (-)	2.967	-	168	435	3.570
Net book value	5.603	-	98	97	5.798
Current Year End:					
Net book value at beginning of the period	5.603	-	98	97	5.798
Additions	1.765	-	-	9	1.774
Disposals (-)	-	-	-	-	-
Impairment charge	(309)	-	-	-	-
Depreciation (-)	89	-	29	36	154
Currency translation differences (-) resulting from foreign investments	-	-	-	-	-
Period end Cost	10.644	-	142	208	10.994
Period end accumulated depreciation (-)	3.056	-	73	138	3.267
Closing net book	7.588	-	69	70	7.727

The Branch has used an independent expert to value its İstanbul, Ankara and İzmir branch buildings. Based on these expertise reports the Branch has reversed the YTL 309 thousand impairment charge previously recorded.

16. Information on intangible assets:

As of 31 December 2005 and 2004, the Branch has no intangible assets.

17. Information related to Deferred Taxes:

- a. Amount of deferred tax recognized in the balance sheet due to deductible temporary differences, financial losses and tax exemptions:

Deferred tax asset of the Branch is YTL660 thousand as at 31 December 2005 (31 December 2004: YTL738 thousand).

- b. Prior years' financial losses, tax exemptions and temporary differences which are not calculated and recognized in the balance sheet, and, if any, their recognition dates,

The Branch has no deductible temporary differences which are not calculated or recognized in the balance sheet of previous years.

- c. Allowances for deferred taxes and deferred tax assets which arise from cancellation of allowances:

The Branch has no allowance provided for deferred taxes.

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

18. Information on other assets:

- a. Information about prepaid expenses, taxes and other similar transactions:

As at 31 December 2005, information about prepaid expenses, taxes and other similar transactions amounts to YTL 1.322 thousand. (2004: YTL1.327 thousand).

- b. Other assets comprise 1% of total balance sheet, excluding off-balance sheet figures

II. INFORMATION AND DISCLOSURES RELATED TO LIABILITIES

1. Information about the saving deposits

- a. Information of maturity structure of the deposits:

- a.1. Current Period– 31 December 2005

	Demand Deposits	Deposit at notice (7 days)	Up to 1 month	1-3 months	3-6 months	6 months-1 year	1 year and over
Saving Deposits	12	-	2	33	3	11	-
Foreign Currency Deposits	6.084	-	2.759	3.792	3.575	5.013	-
Domestic	3.317	-	710	1.079	204	335	-
Foreign	2.767	-	2.049	2.713	3.371	4.678	-
Public Deposits	-	-	-	-	-	-	-
Commercial Deposits	157	-	-	-	-	-	-
Other Deposits	1	-	-	-	-	-	-
Precious metals	-	-	-	-	-	-	-
Interbank Deposits	11.970	-	-	-	-	-	-
CBT	-	-	-	-	-	-	-
Domestic Banks	-	-	-	-	-	-	-
Foreign Banks	11.850	-	-	-	-	-	-
Special Finance Houses	120	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
Total	18.224	-	2.761	3.825	3.578	5.024	-

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

a.2. Prior Period– 31 December 2004

	Demand Deposits	Deposit at notice (7 days)	Up to 1 month	1-3 months	3-6 months	6 months-1 year	1 year and over
Saving Deposits	4	-	9	30	3	11	-
Foreign Currency Deposits	7.596	-	1.148	4.245	3.911	5.244	-
Domestic	4.863	-	496	1.555	182	330	-
Foreign	2.733	-	652	2.690	3.729	4.914	-
Public Deposits	-	-	-	-	-	-	-
Commercial Deposits	132	-	-	-	-	-	-
Other Deposits	4	-	-	-	-	-	-
Precious metals	-	-	-	-	-	-	-
Interbank Deposits	5.018	-	-	2.683	-	-	-
CBT	-	-	-	-	-	-	-
Domestic Banks	190	-	-	-	-	-	-
Foreign Banks	4.828	-	-	2.683	-	-	-
Special Finance Houses	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
Total	12.754	-	1.157	6.958	3.914	5.255	-

b. Information about saving deposits

b.1. Information on saving deposits under the guarantee of saving deposit insurance fund and exceeding the limit of deposit insurance fund:

Saving Deposits	Saving deposits under the guarantee of saving deposit insurance fund		Saving deposits exceeding the limits of deposit insurance fund	
	Current Year	Prior Year	Current Year	Prior Year
Saving deposits	61	57	-	-
Foreign currency saving deposits	2.326	2.400	2.433	2.182
Other deposits in the form of saving deposits	-	-	-	-
Deposits at foreign branches which are also under foreign deposit insurances	-	-	-	-
Deposits at off shore branches which are also under foreign deposit insurances	-	-	-	-

b.2. If saving deposits in Turkey Branch of bank whose head office is located abroad is also under insurance coverage in the country of head office, this matter should be explained:

All of the saving deposits in Turkey Branch of bank whose head office is located abroad is not under insurance coverage in the country of head office.

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

b.3. Saving deposits, which are not under the guarantee of deposit insurance fund

	Current Year		Prior Year	
	TL	YP	TL	YP
Foreign branches' saving deposits	-	-	-	-
Off-shore banking regions' saving deposits	-	-	-	-
Total	-	-	-	-

2. Information on funds provided from repurchase agreement transactions:

As of 31 December 2005 and 2004, the Branch has no funds provided from repurchase agreement transactions.

3. Information on borrowings:

a. Information on borrowings:

	Current Year		Prior Year	
	YTL	FC	YTL	FC
Short Term	-	34.887	-	118.516
Medium and Long Term	-	-	-	-
Total	-	34.887	-	118.516

b. Additional information about the concentrated areas of liabilities and the reasons of concentration based on the customers, sectors or other criteria leading to such concentration:

Funds borrowed consist of loans borrowed from Headquarters abroad and cash collaterals received.

4. Information on marketable securities issued:

a. Information on marketable securities issued:

As of 31 December 2005 and 2004, the Branch has no marketable securities issued.

b. Information on convertible bonds:

As of 31 December 2005 and 2004, the Branch has no convertible bonds.

c. Explanation on maturity structure, interest structure and currency type of marketable securities issued:

As of 31 December 2005 and 2004, the Branch has no marketable securities issued.

5. Information on funds:

As of 31 December 2005 and 2004, the Branch has no funds.

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

6. Information on miscellaneous payables:

	Current Year	Prior Year
Cash collaterals received	92.160	528

Cash collaterals received are related with loans granted for financing of export/import transactions.

7. The description and amounts for items, which constitute at least 20% of other liabilities if other liabilities exceed 10% of total assets, excluding off-balance sheet commitments:

The other liabilities of the balance sheet is YTL 8.659 thousand and does not exceed 10% of total assets excluding off balance sheet items.

8. Information on taxes payable and premiums:

a. Information on taxes payable:

	Current Year	Prior Year
Corporate taxes payable	1.451	1.539
Taxation of securities	58	48
Property tax	-	-
Banking Insurance Transaction Tax (BITT)	8	9
Foreign Exchange Legislation Tax	1	4
Value added tax payable	15	1
Other	48	30
Total	1.581	1.631

b. Information on premiums:

	Current Year	Prior Year
Social security premiums-employee	15	13
Social security premiums-employer	24	22
Bank social aid pension fund premium-employee	-	-
Bank social aid pension fund premium-employer	-	-
Pension fund membership fees and provisions-employee	-	-
Pension fund membership fees and provisions-employer	-	-
Unemployment insurance-employee	1	1
Unemployment insurance-employer	2	2
Other	-	-
Total	42	38

9. Information on factoring payables:

As of 31 December 2005 and 2004, the Branch has no factoring payables.

10. Information on financial leasing:

As of 31 December 2005 and 2004, the Branch has no financial leasing payables.

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

11. Information on accrued interest and expenses payables:

	Current Year		Prior Year	
	YTL	FC	YTL	FC
Accrued interest on deposits	1	111	2	121
Accrued interest on borrowings	-	186	-	897
Accrued interest on bonds	-	-	-	-
Accrued interest on repurchase agreement transactions	-	-	-	-
Accrued interest on financial derivative instruments	-	-	-	-
Accrued interest and expense	-	-	-	-
Foreign exchange losses accrued	-	-	-	-
Accrued interest on factoring payables	-	-	-	-
Other interest and expense accruals	105	1.799	123	-
Total	106	2.096	125	1.018

12. Information on general provisions and subordinated loans:

a. Information on general provisions:

	<u>Current Year</u>	<u>Prior Year</u>
General Provisions	313	606
I. Group Loans	63	518
II. Group Loans	-	-
Non-cash Loans	11	16
Other	239	72

b. Information on employee termination benefits and notification indemnity:

	<u>5 PP</u>	<u>4 PP</u>	<u>3 PP</u>	<u>2 PP</u>	<u>PP</u>	<u>Cur.P.</u>
Actual ETB and call provision payment	89	310	54	-	-	-
ETB and call provision liability	578	104	176	310	493	630
Actual Payment Rate	15%	298%	31%	-	37%	-
ETB and call provision rate					69%	68%
Possible ETB and call provision liability					340	428

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

- c. Liabilities resulting from retirement benefits:

- c.1 Liabilities for foundations established in accordance with “Social Security Institution”:

The Branch has no foundations established in accordance with “Social Security Institution”

- c.2. All kinds of liabilities against establishment of foundations that provide benefits for the employees after retirement:

The Branch has no foundations that provide benefits for the employees after retirement

- d. Explanation on nature of provisions, amount and timing for the expected payment by giving reference to related uncertainties:

The Branch provides provision for doubtful debts and employment termination benefit. There are no payment date and amount expected by the Bank related to these provisions.

- e. Information on provisions for foreign exchange losses from foreign currency indexed loans:

None (31 December 2004: None).

- f. Information on accounting value decrease provision according to submit date:

None (31 December 2004: None).

- g. Information on specific provisions of the non-cash loans not turned into cash:

None (31 December 2004: None).

- h. Information on other provisions:

Information on provisions for possible risks:

	31 December 2005	31 December 2004
Provisions for possible risks	-	-

- i. Detail explanations on the number of subordinated loans, maturity, interest rate, creditor institution, and, if any, the option of conversion to stocks:

The Branch has no subordinated loan as of 31 December 2005.

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

- j. Information on subordinated loans:

The Branch has no subordinated loan as of 31 December 2005.

13. Information on shareholders' equity:

- a. Presentation of Paid-in capital:

Since the Bank is in the status of branch, its paid in capital is not received in exchange for share.

- b. Amount of paid in capital, explanation about whether the registered share capital system is used, if this system is used the amount of registered share capital:

Share capital system	Paid-in capital	Ceiling
Registered	4.236	4.236

- c. Information on share capital increases and their sources; other information on increased capital shares in current year:

There is no capital increase in the current year.

- d. Information on share capital increases from revaluation funds:

There is no capital increase from revaluation fund in the current year.

- e. Significant share capital commitments until the end of the fiscal year and the subsequent interim period, the general purpose of these commitments and the estimated resources necessary for these capital commitments:

There is no capital commitment until the end of the fiscal year and the subsequent interim period.

- f. Information on estimated effects of foresights about Branch's income, profitability and liquidity at previous periods and the ambiguities about those foresights on the Branch's shareholder equity:

The Branch continues its operations with profitability. The Branch utilises most of its capital in liquid assets.

- g. Summarized information about privileges given to shares representing the capital stock:

There are no privileges given to shares representing the capital in the current year.

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

14. Common stock issue premiums, shares and equity instruments:

None.

15. Information on marketable securities value increase fund:

a. Information on marketable securities value increase fund:

a.1. Information on marketable securities value increase fund:

	Current Year		Prior Year	
	YTL	FC	YTL	FC
Associates and Subsidiaries	-	-	-	-
Marketable Securities Available-for-sale	19	-	67	-
Securities held for structural position	-	-	-	-
Total	19	-	67	-

a.2. Information on marketable securities value increase fund:

	<u>Current Year</u>	<u>Prior Year</u>
FC Part of Marketable Securities Value Increase Fund	-	-
Above Part's FC Subsidiaries, Associates and Available For Sale Characterized Common Stocks' Currency Increases	-	-

b. Information on financial statement presentation of foreign exchange gains arising from foreign currency associates, subsidiaries and investment securities available-for-sale:

The Branch has no foreign currency denominated associates, subsidiaries and investment securities available-for-sale.

c. Explanation on the amount of cumulative foreign exchange difference relating to prior years and included in shareholders' equity as a separate line item when it initially applies the accounting standard on the Effect of Changes in Foreign Exchange Rates:

The Branch has no cumulative foreign exchange difference relating to prior years included in shareholders' equity.

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

16. Information on revaluation fund:

There is no revaluation fund on financial statements.

17. Information on revaluation fund increase and the resources:

The Branch has no resources that will cause revaluation fund increase.

18. Information on legal reserves:

	Current Year	Prior Year
First legal reserves	-	-
Second legal reserves	-	-
Other legal reserves allocated per special legislation	-	-
Total	-	-

19. Information on extraordinary reserves:

	Current Year	Prior Year
Reserves allocated by the General Assembly	757	757
Retained Earnings	738	-
Accumulated losses	-	-
Foreign currency share capital exchange difference	-	-
Total	1.495	757

20. a) Information on minority rights:

None (31 December 2004: None).

b) Information on shareholders having more than 10 % share percentage:

Name/Commercial title	Share Amounts	Share Percentage	Paid-in capital	Unpaid portion
Islamic Republic of Iran	4,236	100%	4,236	-

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

III. INFORMATION AND DISCLOSURES RELATED TO INCOME STATEMENT

1. Information on interest income items:

- a. Information on interest income received from associates and subsidiaries:

	Current Period	Prior Period
Interest income received from associates and subsidiaries	-	-

- b. Information on financial leasing income: None.
- c. Interest received from reverse repurchase agreement transactions: None.
- d. Information on interest from the factoring receivables: None.

2. Information on interest expense items:

- a. Information on interest expense given to associates and subsidiaries:

	Current Period	Prior Period
Interest expense given to associates and subsidiaries	-	-

- b. Information on financial leasing expense: None.

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

c. Maturity structure of the interest expense on deposits:

Description	Demand Deposits	Time Deposits					Total
		Up to 1 month	Up to 3 months	Up to 6 months	Up to 1 year	More than 1 year	
TL							
Bank deposits	92	15	-	-	-	-	107
Saving Deposits	-	1	5	-	2	-	8
Public Deposits	-	-	-	-	-	-	-
Commercial deposits	5	-	-	-	-	-	5
Other deposits	-	-	-	-	-	-	-
Notice of deposit (7days)	-	-	-	-	-	-	-
Sub-total	97	16	5	-	2	-	120
Foreign Currency							
Foreign Currency Deposits	12	50	117	109	180	-	468
Notice of deposit (7days)	-	-	-	-	-	-	-
Bank deposits	-	-	-	-	-	-	-
Precious metals	-	-	-	-	-	-	-
Sub-total	12	50	117	109	180	-	468
Total	109	66	122	109	182	-	588

d. Interest given to repurchase agreement transactions: None.

e. Information on interest about the factoring transaction liabilities: None.

3. Information related with other operating income:

Extraordinary items, and current developments are disclosed including the quantification of the effect. The nature and amount of the profit from extraordinary items is:

There are no extraordinary income items in other operating income accounts.

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

4. Provision expense related to the loans and other receivables of the Branch:

	Current Year	Prior Year
Specific provision for loans and other receivables	(76)	58
III. Group Loan and Receivables	-	-
IV. Group Loan and Receivables	-	-
V. Group Loan and Receivables	(76)	58
General provision expense	(293)	435
Possible risks provision expense	-	-
Foreign exchange losses from foreign currency indexed loans	-	-
Value decrease expense of trading securities	-	-
Value decrease provision expense	-	-
Value decrease expense for marketable securities	-	-
Trading Securities	-	-
Marketable Securities available for sale	-	-
Value decrease provision expense (*)	-	-
Affiliates	-	-
Subsidiaries	-	-
Partnerships controlled together	-	-
Investment securities held to maturity	-	-
Other	-	-
Total	(369)	493

(*) Value decrease provision expense of investments, associates and investment securities held to maturity.

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

5. Information related to other operational expenses:

a. Information related to other operational expenses:

	Current Year	Prior Year
Personnel expenses	1.834	1.550
Reserve for employee termination benefits	88	159
Bank social aid provision fund deficit provision	-	-
Depreciation expenses of fixed assets	153	245
Amortization expenses of intangible assets	-	-
Other operating expenses	1.035	1.368
Maintenance expenses	40	50
Advertisement expenses	44	45
Other expenses	951	1.273
Loss on sales of assets	-	-
Operational leasing expenses	-	-
Impairment expenses of property and equipment	-	309
Other	419	145
Total	3.529	3.776

b. The nature and amount of expenses due to extraordinary items should be disclosed separately. The current tax expense effect of extraordinary items should be disclosed separately:

The Branch has no extraordinary expenses at current year.

c.1. The income statement item in which goodwill amortization is included:

As of 31 December 2005 and 2004, the Branch has no goodwill.

c.2. A statement whether the negative goodwill, if any, is determined in accordance with principles identified in article 16 of the accounting standard on the Accounting for Merger and Acquisitions and Investments of Banks, the timing and amount of anticipated expenses and losses, the periods in which the negative goodwill will be recognized as income, and the income statement items in which this income is recorded:

As of 31 December 2005 and 2004, the Branch has no negative goodwill.

6. The profit and loss from subsidiaries and associates:

a. The profit and loss from subsidiaries and associates:

There is no profit and loss from subsidiaries and associates.

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

- b. The profit and loss from subsidiaries and associates, which are accounted for using the equity method of accounting is disclosed as a separate line item in the income statement:

As of 31 December 2005 and 2004, the Bank has no subsidiaries and associates which are accounted for using the equity method.

- c. The information on income and expense related with transactions made with real or legal persons within the same risk group of the Bank:

Income and expense related with the transactions made with real or legal persons within the same risk group of the Branch is explained in detail in VIII - Information and disclosures related to Bank's Risk Group.

7. Explanations related to corporate tax provision:

- a. Corporate tax income or expense and deferred tax income or expense are explained separately:

The Branch's deferred tax expense is YTL78 thousand and corporate tax expense is YTL1,443 thousand.

- b. Deferred tax income or expense arising from occurrence or annulment of temporary differences are explained:

The Branch recognized a deferred tax asset of YTL660 thousand due to temporary differences arose as of 31 December 2005.

- c. Deferred tax income or expense recognized in the profit and loss statement due to temporary differences, financial losses and tax exemptions are explained:

The Branch cancelled its deferred tax asset for the previous years and recognized the resulting deferred tax expense of YTL738 thousand in the current year profit and loss statement.

8. Information on profit and loss from subsidiaries and associates not consolidated:

The Branch has no subsidiaries and associates.

9. Information about net income/loss for the period:

- a. Nature, amount and frequency of income and expenses arising from ordinary banking activities for understanding the performance of the Bank in the current year:

Nature, amount and frequency of income and expenses arising from ordinary banking activities are not necessary in order to understand the performance of the Bank.

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

- b. The effect of the change in accounting estimates to the net profit/loss; including the effects to the future period, if any:

There are no changes in the accounting estimates, including the effects to the future period.

- c. There is no minority profit or loss.

10. Nature and amount of changes in accounting estimates, which materially affect the current year and expected to affect the following periods: If the effects of the above mentioned changes cannot be quantified, this fact should also be disclosed:

There are no changes in the accounting estimates the Branch, which materially affect the current year and expected to effect the following periods.

IV. INFORMATION AND DISCLOSURES RELATED TO OFF BALANCE SHEET ACCOUNTS

1. Explanation related to all the matters explained below separately from other contingent liabilities:

- a. Explanation related to all of the matters explained below separately from other contingent liabilities:

- a.1. Contingent matters related to the joint venture of the Bank and the share of the Bank in contingent liability with other shareholders:

As of 31 December 2005, the Branch has no joint ventures.

- a.2. The share of the joint venture of the Bank in its own contingent liabilities:

As of 31 December 2004, the Branch has no joint ventures.

- a.3. Contingent liabilities arising from the liabilities of other shareholders of the joint venture of the Bank:

As of 31 December 2005, the Branch has no joint ventures.

- b. When accounting for contingent assets and liabilities, disclosure is made depending on the probability of realization of the contingency event:

As of 31 December 2005, the Branch has no contingent assets.

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

2. Disclosures relating to derivative financial instruments:

None.

3. Information related with off-balance sheet:

a. Type and amount of without recourse loan commitments:

Total letters of credit amounting to YTL 122 thousand amounting cheque sheets as of 31 December 2005. (31 December 2004: YTL 101 thousand).

b. Probable losses and obligations arising from off-balance sheet items including the items listed below:

b.1. Non-cash loans including guarantees, acceptances, letters of credit and other financial guarantees:

	Current Period	Prior Period
Letter of Credit	7.311	13.985
Other financial guarantees	72	72
Total	7.383	14.057

b.2. Certain guarantees, temporary guarantees, collateral or any similar transactions:

The Bank certain and temporary guarantees amounting to YTL 3,891 thousand (31 December 2004: YTL 2,120 billion).

4. Total amount of non-cash loans:

a. Total amount of non-cash loans:

	Current Year	Prior Year
Guarantees given against cash loans	-	-
With maturity of 1 year or less than 1 year	-	-
With maturity of more than 1 year	-	-
Other non-cash loans	11.279	16.177
Total	11.279	16.177

b. Pledge, mortgage and other restrictions, if any, on property and equipment is indicated:

As of 31 December 2005, there is no pledge, mortgage and other restrictions on property and equipments. There are not any commitments for the purchase of property and equipment.

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5. Information related to services delivered in the name and account of others:

Explanation about the Bank's operations such as custody and placements, if any, which are performed in the name of real and legal persons, foundations, pension funds and other institutions in their financial statements:

The Branch does not provide services such as custody and placements, foundations , pension funds and other institutions on behalf of real and legal persons.

6. Brief information related to rating carried out by international rating firms:

There is no rating of the Branch carried out by international rating firms.

7. Sectoral risk concentrations of non-cash loans:

a. Sectoral risk concentrations of non-cash loans:

	Current Year				Prior Year			
	YTL	(%)	FC	(%)	YTL	(%)	FC	(%)
Agricultural	-	-	-	-	-	-	-	-
Farming and raising livestock	-	-	-	-	-	-	-	-
Forestry	-	-	-	-	-	-	-	-
Fishing	-	-	-	-	-	-	-	-
Manufacturing	166	30	405	4	113	27	187	1
Mining	-	-	-	-	-	-	-	-
Production	166	30	405	4	113	27	187	1
Electric, gas and water	-	-	-	-	-	-	-	-
Construction	63	11	87	-	65	16	336	2
Services	26	4	8.328	76	34	8	1.249	8
Wholesale and retail trade	-	-	1.870	17	-	-	1.209	8
Hotel, food and beverage services	-	-	-	-	2	-	-	-
Transportation and telecommunication	5	-	-	-	12	3	40	-
Financial institutions	20	4	6.458	60	-	-	-	-
Real estate and renting services	1	-	-	-	-	-	-	-
Self-employment services	-	-	-	-	20	5	-	-
Education services	-	-	-	-	-	-	-	-
Health and social services	-	-	-	-	-	-	-	-
Other	297	53	2.029	20	200	49	14.094	89
Total	552	100	10.849	100	412	100	15.866	100

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

- b. Information on the first and second group non-cash loans and other receivables including those that have been restructured or rescheduled:

Current Year	Ist Group		IInd Group	
	YTL	FC	YTL	FC
Non-cash Loans				
Letters of guarantee	392	3.504	-	-
Bank acceptances	-	-	-	-
Letters of credit	-	7.311	-	-
Endorsements	-	-	-	-
Underwriting commitments	-	-	-	-
Other commitments and contingencies	38	34	-	-

V. INFORMATION AND DISCLOSURES RELATED TO THE STATEMENTS OF CHANGES IN SHAREHOLDER'S EQUITY

1. Information on adjustments arising from application of the standard on Accounting for Financial Instruments in the current year:

- a. Information on increase arising from fair valuation of securities available-for-sale:

The increase arising from fair valuation of securities available-for-sale amounts to YTL19 thousand (2004: YTL67 thousand).

- b. Information on increases in the cash flow hedges:

- b.1. Beginning and ending of period are reconciled:

The Branch has no derivative or non-derivative assets or liabilities designated as hedging instrument with respect to cash flow hedge.

- b.2. Information on the amount of gain or loss relating to a financial derivative or non-derivative financial instrument which is included in shareholders' equity, for cash flow hedges:

The Branch has no derivative or non-derivative assets or liabilities designated as hedging instrument with respect to cash flow hedge.

- c. For foreign currency differences, reconciliation between beginning and ending amounts has been performed:

None.

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

2. Information on adjustments arising from the application of the accounting standard on Accounting for Financial Instruments in the current year:

a. Information on investment securities available-for-sale:

The amount of YTL 67 thousand in the investment securities available-for-sale, is transferred from shareholders' equity to net profit/loss account. It constitutes earnings due to re-measurement of investments available-for-sale (except assets held for risk aversion) in the market values.

b. Information about cash flow hedges:

None.

3. Information about dividends:

a. Amount of dividends declared after the balance sheet date but before the issue of the financial statements:

There are no dividends declared by the Branch after balance sheet date but before the issue of the financial statements.

b. Net dividend per share declared after balance sheet date:

There are no dividends declared by the Branch after the balance sheet date.

4. Amounts transferred to legal reserves:

	Current Period	Prior Period
Amount transferred to legal reserves from retained earnings	738	757

5. Information about share issue:

a. The Bank has no share issues.

VI. INFORMATION AND DISCLOSURES RELATED TO STATEMENT OF CASH FLOWS

1. Explanations about the other cash flows item and effect of changes in foreign exchange rates in cash and cash equivalents:

"Other" item under "Operating profit before changes in operating assets and liabilities" amounting to YTL 1.695 thousand (2004: YTL 2.549 thousand) is mainly consisted of other operating expenses, provision for loans and other receivables, foreign exchange gains / losses and taxation provision expense.

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The “Net increase / decrease in other liabilities” item under “Changes in operating assets and liabilities” amounting to YTL 93.052 thousand (2004: YTL 3.766 thousand)mainly consists of changes in miscellaneous payables, other liabilities and taxes and other duties payable.

The effect of changes in the foreign currency rates on the cash and cash equivalents is reflected on net foreign exchange gains / losses. The foreign exchange gains / losses amount mentioned above is included in “Other” line under “Operating profit before changes in operating assets and liabilities”.

2. Information about cash flows due to acquisition of associates, subsidiaries, and other investments:

There is no cash outflow due to acquisition of associates, subsidiaries and other investments in the current year.

3. Information about disposal of associates, subsidiaries, and other investments:

There is no cash inflow due to disposal of associate, subsidiaries and other investments in the current year.

4. Information about cash and cash equivalents at the beginning and end of the period:

a. Items included in cash and cash equivalents and accounting policy used to determine cash and cash equivalents:

Cash, foreign currency and demand deposits in the banks including the Central Bank of Turkey are described as “Cash”, interbank money market placements and time deposits in the banks with original maturity of less than three months are described as “Cash equivalents”.

b. The effect of any change made in the accounting policy:

There is no change in the accounting policy. (31 December 2004: None)

c. Reconciliation between cash and cash equivalents per balance sheet and cash flow statement:

(i). Information on cash and cash equivalents at the beginning of the year:

	Current Year	Prior Year
Cash	187	191
Cash and foreign currency vault	21	10
Demand deposits at banks	166	181
Cash Equivalents	40.479	62.545
Interbank money markets	-	-
Time deposits at banks	40.479	62.545
Total Cash and Cash Equivalents	40.666	62.736

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

(ii). Information on cash and cash equivalents at the end of year:

	Current Year	Prior Year
Cash	19.547	187
Cash and foreign currency vault	146	21
Demand deposits at banks	19.401	166
Cash Equivalents	36.487	40.479
Interbank money markets	-	-
Time deposits at banks	36.487	40.479
Total Cash and Cash Equivalents	56.034	40.666

5. Amount and nature of cash and cash equivalents of the Bank that are not freely useable due to legal restrictions or other reasons:

There are no cash and cash equivalents of the Bank which are not freely usable due to legal restrictions or other reasons.

6. Additional data on financial status and liquidity positions of banks in addition to the ones provided in the first items:

- a. Legal restrictions on the usage of loan opportunities in conducting banking activities and fulfilling capital commitments:

None.

- b. Banks share of cash flows resulting from banking, investment and funding operations among its subsidiaries which are booked and controlled together according to the partial consolidation policy:

None.

8. Total cash flow showing the increases in the banking operations capacity, apart from the cash flow required for the sustainability of its current capacity over banking operations:

None.

VII. INFORMATION AND DISCLOSURES RELATED TO BANK MERGERS, TRANSFERS AND ACQUISITIONS

1. For all business combinations, including transfers, name and type of merging entities, accounting policy used to account for the business combination, effective date of the merge, activities to terminate the merge:

None.

2. Explanation about the period when the acquisition occurs:

- a. Explanation about the period when the acquisition occurs:

None.

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

- b. Provisions are used for contingent liabilities. Total book value of provisions made for each acquisition:

None.

- c. In any acquirement, if market value or cost of any asset or liability could not be exactly determined for ending period then this issue must be clarified with reasons. Explanations regarding adjustments made for temporary market values.

None.

3. For mergers and transfers, the following information should be disclosed in the financial statements of the period in which the transaction occurs:

- a. Description and number of shares issued, share exchanges, and share percentage for each shareholder:

None.

- b. Amounts of assets and liabilities that are being merged by each bank:

None.

- c. Sales revenue, other operating income, extraordinary gains and expenses, and net profit or loss before merger or transfer:

None.

4. Information required in this section should be provided for bank mergers after the balance sheet date before the date the financial statements were approved for issue. If an explanation cannot be provided, this fact should be explained with reasons:

The Bank has not performed merger transaction after balance sheet date.

VIII. INFORMATION AND DISCLOSURES RELATED TO BANK'S RISK GROUP

1. Information on the volume of transactions relating to the Bank's risk group, incomplete loan and deposit transactions and profit and loss of the period:

a. Current Year:

Bank's risk group (*)	Associates and subsidiaries		Direct and indirect shareholders of the Bank		Other items that have been included in the risk group	
	Cash	Non-cash	Cash	Non-cash	Cash	Non-cash
Loans and other receivables						
Balance at the beginning of the period	-	-	20.825	884	-	-
Balance at the end of the period	-	-	21.063	79	-	-
Interest and commission income received	-	-	1.276	230	-	-

*Defined in the 20th Article of the "Regulation on the Establishment and Operations of Banks".

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b. Prior Year:

Bank's risk group (*)	Associates and subsidiaries		Direct and indirect shareholders of the Bank		Other items that have been included in the risk group	
	Cash	Non-cash	Cash	Non-cash	Cash	Non-cash
Loans and other receivables						
Balance at the beginning of the period	-	-	12.355	697	-	-
Balance at the end of the period	-	-	20.825	884	-	-
Interest and commission income received	-	-	778	104	-	-

*Defined in the 20th Article of the "Regulation on the Establishment and Operations of Banks".

c. Current Period

Bank's risk group (*)	Associates and subsidiaries		Direct and indirect shareholders of the Bank		Other items that have been included in the risk group	
	Current Period	Prior Period	Current Period	Prior Period	Current Period	Prior Period
Borrowings						
Balance at the beginning of the period	-	-	105.095	63.537	-	-
Balance at the end of the period	-	-	10.734	105.095	-	-
Interest expenses given	-	-	4.385	2.313	-	-

d. Prior Year:

Bank's risk group (*)	Associates and subsidiaries		Direct and indirect shareholders of the Bank		Other items that have been included in the risk group	
	Current Period	Prior Period	Current Period	Prior Period	Current Period	Prior Period
Borrowings						
Balance at the beginning of the period	-	-	63.537	77.199	-	-
Balance at the end of the period	-	-	105.095	63.537	-	-
Interest expenses given	-	-	2.313	1.772	-	-

* Defined in the 20th Article and 2nd paragraph of the "Regulation on the Establishment and Operations of Banks"

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E. INFORMATION AND DISCLOSURES RELATED TO FINANCIAL STATEMENTS (Continued)

e. Information on deposits belonging to the Bank's risk group:

e.1 Current Period

Bank's risk group (*)	Associates and subsidiaries		Direct and indirect shareholders of the Bank		Other items that have been included in the risk group	
	Current Period	Prior Period	Current Period	Prior Period	Current Period	Prior Period
Deposit						
Balance at the beginning of the period	-	-	-	-	-	-
Balance at the end of the period	-	-	7.868	-	-	-
Interest expenses given	-	-	77	-	-	-

* Defined in the 20th Article and 2nd paragraph of the "Regulation on the Establishment and Operations of Banks".

e.2 Prior Period

Bank's risk group (*)	Associates and subsidiaries		Direct and indirect shareholders of the Bank		Other items that have been included in the risk group	
	Current Period	Prior Period	Current Period	Prior Period	Current Period	Prior Period
Deposit						
Balance at the beginning of the period	-	-	-	-	-	-
Balance at the end of the period	-	-	-	-	-	-
Interest expenses given	-	-	-	-	-	-

* Defined in the 20th Article and 2nd paragraph of the "Regulation on the Establishment and Operations of Banks".

f. Information on forward and option agreements and other similar agreements made with the Bank's risk group:

None.

2. With respect to Bank's risk group:

- a. The relations with entities that are included in the Bank's risk group and controlled by the Bank irrespective of relationship between the parties:

The transactions with entities that are included in the Bank's risk group are in line with the legislation.

- b. Besides the structure of the relationship, the type of transaction, amount and share in total transactional volume, amount of significant items, and share in all items, pricing policy and other:

The pricing policy of transactions with the Bank's risk group is made by taking market conditions into consideration. The ratio of cash loans provided by the Bank's risk group over the total cash loans provided is 20% (2004: 20%). The ratio of non-cash loans provided by the Bank's risk group over the total non-cash loans provided is 1% (2004: 5%). The ratio of loans

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provided by the Bank's risk group over the total loans provided is 31% (2004: 93%). The ratio of interest expenses referring to the loans and deposits provided by the Bank's risk group over the Bank's total interest expenses given to loans and deposits is 81% (2004: 97%).

- c. With the exception of exceptional explanations necessary in order to see the effects of transactions on financial statements, grouping of similar items to arrive at one amount:

The Bank has earned YTL 1.276 thousand interest income, and YTL 230 thousand fee and commission income from the companies included in the Bank's risk group. On the other hand, it has paid YTL 4.462 thousand interest expense.

- d. Transactions accounted for using the equity method:

The Bank has no transactions that are accounted for using the equity method.

- e. Transactions such as the purchasing or selling of property, plant and equipment, and assets, the purchasing or selling of services, agency agreements, leasing agreements, data transfer as a result of research and development, licence agreements, financial (loans and cash or in kind capital aid included), guarantees and collaterals and management agreements, are explained in the current year's report:

None.

IX. INFORMATION AND DISCLOSURES RELATED TO INFLATION ACCOUNTING

As was explained in article b of the part "I. Explanation and notes on the basis of presentation", in section three "C. Explanations on accounting policies", BRSA announced with the 1623 numbered and 21 April 2005 dated circular the decision on termination of the application of inflationary accounting in the banking sector on 28 April 2005. This circular states that the application is no longer applicable starting from 1 January 2005 as the necessary criteria that should be met for the application of inflationary accounting as well as the inflation rate no longer exist. According to AAR 14, period end restated amounts constitute next period's commencing amounts. As a result, inflationary accounting was applied to the Bank's financial statements till 31 December 2004 and the application ended on 1 January 2005. Prior year amounts on these financial statements are expressed as restated amounts with the purchasing power of the Turkish Lira at 31 December 2004.

Explanations on AAR 14 regarding the inflationary accounting application that were applicable till 31 December 2004 are as follows:

- a) Until 31 December 2004, the current and previous period financial statements have been adjusted according to the purchasing power on the date of balance sheet in order to remove the effect of changes in the purchasing power on the financial statements. The BRSA announced with a communiqué at 28 April 2005 that inflation accounting has ended upon BRSA decision No 1623 dated 21 April 2005. In the communiqué in question, it is emphasized that indicators which necessitate the application of inflation accounting have disappeared and inflation accounting application is to be ended as of 1 January 2005.
- b) These financial statements are prepared based on statutory records and adjustments regarding inflation accounting are included in the statutory records.

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- c) Adjustment coefficients calculated based on below mentioned Wholesale Price General Index (“TEFGE”) and Wholesale Price Index (“TEFE”) announced monthly by the State Statistics Institute for re-adjustment of financial statements dated 31 December 2004 according to effects of inflation have been used :

<u>Date</u>	<u>Price index</u>	<u>Conversion factor</u>
31 December 2003	7.382,1	1,1384
31 December 2004	8.403,8	1,0000

- d) Adjustments on non-monetary items :

Monetary assets and liabilities, which are carried at amounts current at the balance sheet date, are not restated because they are already expressed in terms of the monetary unit current at the balance sheet date. Non-monetary assets and liabilities, which are not carried at amounts current at the balance sheet date, and components of shareholders’ equity are restated by applying the relevant conversion factors. In the restatement, these items are restated on the basis of their initial recognition date in the balance sheet

- Assets are restated on the basis of their acquisition dates. During the restatement of assets, which are subject to depreciation, the effects of revaluation on these assets and respective accumulated depreciation, which has been applied in accordance with related regulation, are eliminated.
 - In the restatement of shareholders’ equity, transfers from revaluation fund and other similar funds to share capital are eliminated since they were not recognized as capital injection from shareholders. Transfers of amounts, which do not occur as a result of revaluation, such as reserves, un appropriated profit, share premiums and investment and immovable fixed asset sale income are deemed to be cash contributions. As a result of the adjustment, the increase amount on the share capital with respect to the historic amount of paid-in capital is disclosed as “Other Capital Reserves” under the equity in the financial statements.
 - All items in the statement of income are restated by applying the monthly conversion factors. Since the wholesale price indices reflect monthly price changes, the same monthly conversion factors are used for all transactions realized within a month.
 - The effects of inflation on the Bank’s net monetary position are included in the income statement as “gain or loss on net monetary position”.
- e) In adjustment of assets subject to depreciation, the effect of revaluation applied in accordance with the relevant regulation is eliminated. Depreciation is calculated on a “pro-rata basis” over assets’ estimated useful lives according to the “straight line method” based on adjusted balances on the basis of inflation accounting. Information regarding useful lives of assets are given in the footnotes.

The Branch cancelled the loss of YTL 309 thousand fixed asset impairment provision according to fair values of İstanbul, Ankara and İzmir Branches’ buildings determined by the expert.

- f) Explanation on recorded values of paid-in or issued capital and reserves arose according to Turkish Trade Law or main agreements of the Banks :

The registered value of paid in capital as of 31 December 2005 is YTL4.236 thousand. 100% of the Bank’s capital belongs to Islamic Republic of Iran. The total registered value of reserves is YTL1.495 thousand according to Turkish Trade Law and the main agreement of the Bank.

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Pursuant to BRSA communiqué BDDK.DZM.2/13/d-5 dated 28 April 2005 and in accordance with the Communiqué for Uniform Accounting Plan and Appendices, the balance that takes part in Inflation Adjustment Differences has been transferred to the relevant account.

- g) Items included in monetary gain or loss resulting from monetary items and items that are associated with the monetary gain or loss such as interest and foreign exchange gain or loss resulting from loans and borrowings are presented separately in the income statement by being deducted from “gain or loss on net monetary position” item and included in the relevant item in accordance with the relevant communiqués of accounting standards.
- h) Financial statements as of 31 December 2004 were audited by Başaran Nas Serbest Muhasebeci Mali Müşavirlik A.Ş. (a member of PricewaterhouseCoopers).
- i) Income and expenses accrued during the period and income and expenses made during the period are not seasonal and have been accounted on the dates of recognition.

X. INFORMATION AND DISCLOSURES RELATED TO DOMESTIC, FOREIGN OFFSHORE BRANCHES AND FOREIGN REPRESENTATIONS OF THE BRANCH

None.

XI. INFORMATION AND DISCLOSURES RELATED TO SUBSEQUENT EVENTS

- 1. Information on subsequent events which require explanation:

None.

- 2. There are no significant changes in the exchange rates after the balance sheet date which may affect the users of the financial statements during the analysis of the financial position.

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SECTION SIX

F - OTHER EXPLANATIONS AND FOOTNOTES

I. OTHER EXPLANATIONS RELATED TO OPERATIONS OF THE BRANCH

None.

II. EXPLANATIONS ADDED FOR CONVENIENCE TRANSLATION INTO ENGLISH:

The effects of differences between accounting principles and standards set out by regulations in conformity with article 37 and temporary article 1 of the Banking Act No. 5411, accounting principles generally accepted in countries in which these financial statements are to be distributed and International Financial Reporting Standards ("IFRS") have not been quantified in these financial statements. Accordingly, these financial statements are not intended to present the financial position, results of operations and changes in the financial position and cash flows in accordance with the accounting principles generally accepted in such countries and IFRS.

SECTION SEVEN

G. EXPLANATIONS ON INDEPENDENT AUDIT REPORT

I. EXPLANATION ON INDEPENDENT AUDIT REPORT

The financial statements as at and for the period ended 31 December 2005 have been audited by Basaran Nas Serbest Muhasebeci ve Mali Müşavirlik A.S. (a member of PricewaterhouseCoopers). In the auditor's report dated 17 February 2006, it has been stated that the financial statements present fairly, in all material respects, the financial position of the Branch at 31 December 2005 and the results of its operations and its cash flows for the year then ended in accordance with accounting principles and standards set out by the regulations in conformity with article 37 and temporary article 1 of the Banking Act No. 5411.

II. INFORMATION AND DISCLOSURES PREPARED BY INDEPENDENT AUDITOR

None.